Orkla India (ORKLAINDIA)

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Call: Nov 2025

ORKLA INDIA LIMITED
(Formerly known as “Orkla India Private Limited” and “MTR Foods Private Limited”)
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November 19, 2025

BSE Limited,
20th Floor, P.J. Towers,
Dalal Street,
Mumbai - 400001.

Scrip Code: 544595
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Scrip Symbol: ORKLAINDIA

Dear Sir / Madam,

Subject : Transcript of the Earnings C onference Call with Analysts/ Investors on the financial results for the quarter and half -year ended September 30, 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations ”), please find enclosed the transcript of the Earnings C onference Call on financial results for quarter and half year ended September 30, 2025, conducted after the meeting of the Board of Directors held on Thursday, November 13, 2025.

The Transcript is made available on the website of the Company at :
https://www.orklaindia.com/governance/stock -exchange -intimations/earnings -call-updates/fy -2025 -26/transcript -of-earnings -call/

We request you to take this on record and treat the same as compliance with the applicable provisions of the SEBI Listing Regulations.

Thank ing you.

For Orkla India Limited
(Formerly MTR Foods Private Limited)

Kaushik Seshadri
Company Secretary and Compliance Officer
ICSI Membership Number: A41800

Encl.: as above

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SESHADRI Date: 2025.11.19 13:30:11 +05'30'

“Orkla India Limited Q2 FY '26 Earnings Conference Call”

November 13, 2025

MANAGEMENT : MR. SANJAY SHARMA – MANAGING DIRECTOR AND CEO , ORKLA INDIA LIMITED

MS. SUNIANA CALAPA – CHIEF FINANCIAL OFFICER , ORKLA INDIA LIMITED

MR. SIDDHARTH BORKAR – HEAD – M&A AND INVESTOR RELATIONS

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to the Q 2 FY '26 Earnings Conference Call of Orkla India Limited hosted by ICICI Securities Limited.

As a reminder , all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Manoj Menon from IC ICI Securities. Thank you , and over to you, sir.

Manoj Menon: Hi, everyone. It is a wonderful good morning, good afternoon, good evening, depending on the part of the world you are joining this call from. Representing IC ICI Securities, it is our absolute pleasure to welcome all of you to this first ever post -listing results conference call of Orkla India Limited.

I hand over the call to Mr. Siddharth Borkar from the company. Please introduce yourself and introduce the management team , and then post which we will have the opening remarks on the management , and after that we will open the floor for Q&A. Thank you , and over to you.

Siddharth Borkar: Thank you , Manoj , for hosting us. Hello everyone. I am Siddharth Borkar, Head of M&A and Investor relations at Orkla India. As you all know, Orkla India got listed on BSE and NSE on 6th of November. And this is our first earnings call. Hence, even a warmer welcome to all of you.

I hope you have gone through the Investor Presentation and other materials that we have uploaded. In today's call, we will walk you through some of the key highlights of the quarter. And then we will open the floor for Q&A.

I am joined by Mr. Sanjay Sharma – Managing Director and CEO at Orkla India; Ms. Suniana Calapa – CFO at Orkla India .

I want to draw your attention to the disclaimer slide as stated in our Earnings Presentation . With that, I hand it over to Sanjay.

Sanjay Sharma: Thank you, Siddharth, and a very good evening to all the participants on the call. My name is Sanjay Sharma. I am the Managing Director and CEO for Orkla India . As Siddharth said, Orkla India got listed on the 6th of November and this is our first earnings call that we are doing.

Let me start by first really talking to the people who actually invested in us. Thank you for your trust and belief in our story. And for those people who are still evaluating us, thank you for your interest. And I hope that someday you will find us to be a strong value -creating story to invest behind.

Over the last six months, we have met many investors and analysts and have explained our business models and growth strategies. However, this being the first presentation after listing, I shall take the liberty to yet again start from basics. And I would r equest if you heard the story before to bear with me. Suniana and I will also take a bit wider perspective in our presentation so that you understand our numbers and our strategy.

If you go to the Slide # 3, you will see this is broadly the agenda that I will be walking you through today. Quick introduction, a little bit on the macro environment, highlights, and then Suniana will take you through the financial performance , and then I will come back and sum up the entire presentation. There is additional information available in the last section. We would encourage people to have a look at it and see if there is anything else that you would like to know about us.

Let me then move quickly into the introduction to Orkla India. And if you could move to Slide #5, you will see that Orkla India is a multi -category foods company. We are a collection of heritage brands like MTR and Eastern. MTR is a 100 -year-old brand. Eastern is a 40 -year-old brand.

We operate in two categories, spices and conv

enience foods. Our products cater to our consumer needs across all meal occasion s, from breakfast, lunch, dinner, snacks, beverages and dessert. Our business model is built on a fundamental premise that food is local. As you are aware that each state in India has a different culture, language and cuisine. Therefore, in our categories, you will find that brands that best reflect the local cuisine culture and taste often dominate the market. I am sure you are aware that the food in Gujarat is very, very different from the food in Maharashtra. And when you come down to Karnataka or Kerala, you will find that the food starts to differ even more.

The testament to above is the fact that in spite of being distributed across India, 70% of our business comes from the south part of India. In fact, just four of the five southern states. Our brands have a strong market -leading position in our key geograph ies of Karnataka, Kerala , AP and Telangana. Our model is built on driving growth by going deep rather than building a generic portfolio across India.

We drive growth by driving penetration and usage of our products. Let me spend a little time on this to explain this point a little further. In 2025, when you look at it, our full year sales of Karnataka represented a per capita annual purchase of just Rs. 110 per person. If we translate this in terms of sambar consumption, which is the most consumed dish in Karnataka, of the 260 possible consumption opportunities which are there, our sales contribute to just 12 occasions. Just 12 occasions out of 260. And this is despite the fact that we are the market leading brand in this market with a significant dominant market share that we enjoy. This shows that there is enough of headroom for growth we have by driving penetration and usage of our products.

Another interesting fact is the fact that migration of Indians has helped us build a strong international business, which is 21% of our sales and serves the immigrant Indians across 45 markets. We are also the largest branded spice exporter for the last 24 consecutive years. It is an award that we get from spice boards under the edges of Ministry of Industry and Commerce each year and Eastern has got it for the last 24 consecutive years.

Let me move ahead into the macro environment and I will not belabor my point out here. If you come to Slide # 7, I think all of us will agree that the m acro environment is improving to drive consumption. The steps taken by the government in terms of the income tax relief, the reduction in interest rates, and the latest GST 2.0 implementation, combined with the fact that food inflation has come down.

And even today, today's papers also talk about how retail inflation has come down to its lowest ever, and food inflation has gone negative. I think you all will agree that we are setting all of these initiatives and will lead to greater amount of money com ing into the wallet of consumers. And in the last two to three years with what we have seen, the consumption squeeze is pretty much now over and we will start to see consumption improving.

The GST implementation, I think, has come with its fair share of impact to the industry and we are no different from that. The GST reduction that has taken place from our portfolio perspective impacted just 25% of our portfolio. And most of this portfolio sat in the convenience food category. Now, in convenience food , our products like Gulab Jamun were impacted, which were in the middle of its peak season, peak sales period as the festive season was setting in.

The transition has impacted us in two ways. Billing was impacted for 7 to 10 days on account of uncertainties as there was lack of clarity in terms of what are the initiatives that we should take and the retailers also started to stop buying our products. And then an additional transition - related expe

nses had to be incurred in advertising, informing consumers about the reduced pricing that we ha d done of 10 % to 12% and promotions that we had to do to flush out the inventories that were sitting with retailer s and distributors. Some impacts also came in line in terms of in the cost line as we had to apply labor to print new MRPs on the inventories that was with us.

I will move further to the next slide, which is Slide # 8, largely showing you the key commodity trends that are major raw materials for us. Our revenues and profits have been impacted on account of some of the raw material price developments that have taken place. This has happened largely in the spices catego ry. The raw material price development has been quite drastic over the last two years.

We have had two consecutive years of sharp reduction in prices. In the first year, you will see that prices have dropped by 10%, Quarter 2 '24 over Quarter 2 '2 5. And then we have followed by another additional 12.3% drop when you look at Quarter 2 '2 6 over Quarter 2 '2 5. So, over a

period of two years, we have seen a reduction in prices of almost 22 % to 25%. And we believe that this has been an unprecedented event in the last 18 years of our presence in India. And being part of this category, we have never seen an event like this occur.

Given that 60% of the market is unorganized , managing the price premium relative to the unorganized market was key to growth. And this has resulted in us dropping MRPs of our products in a commensurate manner. This affects our revenue growth, but we have been focusing on driving the volumes as far as our cate gories are concerned. Because we believe that as volumes, if we sell more volumes, it would mean that we would either be driving more consumption or attracting more consumers. And we would like that at the end of this deflationary cycle, we would prefer to have more number of consumers with our brand equity than have price related growth. So, volume is a very, very important dimension for growth for us.

On the other hand, in blended spices, we tend to hold our premium relative to the local brands that we compete with. However, to manage the value perceptions and the competitive scenario, we offer discounts. But quite often these discounts are not commensu rate to the drop in prices and often leads to margin expansion and you will see that happen in our financials.

The other two commodities which is wheat and S MP are critical to our convenience food portfolio. Inflation here has been more manageable , and we have taken the requisite actions to pass on the price increases to our consumers.

Now let me spend some time on our business performance and give you a quick highlight of the business. So , if you could move to Slide # 10 of the deck. In this quarter, our business has continued to develop positively with a strong volume growth of 7.7%. The revenue growth has come in at 4.9%. Spice volume growth was close to about 6% with revenue growth impacted due to deflation in spices as I just spoke to you on the previous slide.

Convenience food category grew robustly at 19.2% driven by the sweets category or the Mithai category that we are developing and the festival season. Sweets or the Mithai category that we have grew at 26%.

The development of digital commerce has continued with the industry growth trends and we grew in this quarter at almost 49%. EBITDA was healthy at 16.9 despite additional one -time costs. And I will let Suniana explain these one -time costs to you as we come to the financial section.

We will go to the next slide, which is Slide # 11. In our RHP and prospectus, we had clearly articulated three organic growth strategies. Our overall business performance is supported by these strategies. Let me start one by one.

The first one, on s

pices, our efforts are to drive the per capita sales, are supported by increasing penetration , range, frequency and value. These have been driven by the following initiatives. In Karnataka and Andhra Pradesh, MTR had a weak presence in the Pure Spices category despite being a preferred brand of the local consumers. To drive range presence in the home, we have been developing the Pure Spices business. In the current quarter, the development continues to be positive , with a volume growth of around 40%, despite a similar growth that we had got last year. This has been supported by availability expansion as well.

The second key strategy that we are driving in this segment is about strengthening our local connect with the consumers. As I said that our brands have to reflect the local culture and local tastes , and therefore this becomes a very important pivot in terms of our growth. Our innovations in this quarter have continued to support the needs of the consumers as a reflection of the local cuisine needs. This has been done both for single spices as well as masalas. You will note that even for a product like chilli , which seems like a generic product, and I have had many conversations where people feel that a single chil li can be sold across India.

We would like to take your attention to the fact that each state or region has a very specialized blend, which is required for its cuisine. And you can see that in the slide, we have launched in this Quarter 3 different types of chil li. A chil li for Telangana, a chil li for Karnataka, because North Karnataka tends to use Byadgi Chi lli, which is also known as Kashmiri Chilli, but they refer to it as Byadgi Chilli.

And then Eastern has launched a Super r Kashmiri Chilli, which is a chilli with extremely high color and very low pungency, which is used in certain districts of Kerala where they need a much better color to come across in their cooking. So , we are customizing our products to the level that it talks to the local culture and local cuisine in a very sharp manner.

And finally , when it comes to Eastern, Eastern has a direct to retail distribution system in Kerala, which is different from the traditional FMCG model. Post acquisition of Eastern, we have not made any changes to this distribution model. We are now working to make the current Eastern distribution sys tem more efficient by making three key changes. Number one, we are driving focus between spices and foods. We have a very large range of 200 products. So , we have split the channel into two separate units. One that will focus only on spices and one that wi ll focus on the convenience foods range.

The second thing that we are doing is that we have a very strong digital framework, which is already present, which we use while retailing. We are further digitizing this and driving process improvements in terms of the way to ensure that we drive more eff ectiveness of college in amongst the trade.

And the third thing that we are doing is we are working with the trade marketing initiatives that Eastern had , and we are improving the effectiveness of trade marketing initiatives in the states.

So, all of these three changes that we are doing in the Eastern distribution network is going to help make us more effective in terms of distribution in Kerala.

We will go to the next slide, which is on transforming convenience foods. Convenience food is the next growth platform. Our strategy here is to transform our offering in line with the developing consumer needs for higher convenience. In this segment, we are loo king at building three key platforms. We are looking at building sweets, we are looking at building breakfast, and we are looking at building meals. These are the three most important platforms that we are developing.

In the current quarter, growth has been strong as far as Convenience Foods is conc

erned at
19.2%. And this growth has been driven by the sweet s category, which grew at 26%. Products under both our brands, MTR and Eastern have done well. I would like to specifically call out that East ern's Palada Payasam was one of the fastest growing SKUs in the current quarter given the fact that Onam also came in the same quarter in the second quarter this year.

The share of new products that we have done in convenience food has doubled over last year to nearly 8% of our convenience food sales. So , new products are really driving the convenience food market and the convenience food category for us.

Many of the launches that we have done are to provide greater convenience to our consumers. In breakfast, we have extended the traditional powder range that we had to a fresh, ready -to-use batter, which has been in the market for the last two years. For Eastern , we have extended it from basic powders to a five -minute breakfast version. Today, a putt u or an appam would take anything between two hours to eight hours to make. We have got five -minute versions now where you just need to add hot water and you can make these products instantly. I think the entire focus out here has been around reducing the time th e consumer spends in the kitchen.

In sweets, again, our largest product was Gula b Jamun , which was in a powdered mix form, which needed about two hours of preparation time. We have launched in this quarter about five new products around ready -to-eat Mithai , which is mostly sweets, which represents recipes from Karnataka. It's the Mysore Pak range that we have launched, and we have got a phenomenally good response during Dussehra and the Diwali season.

In the meals segment, most of our presence today is through spice powders. But we are starting to make a small start by launching a ready -to-cook fresh sambar paste through which you can make sambar in just about 15 minutes.

Taking you to the next slide, Slide # 13. The third growth driver that we have is to build the newest business unit in our company, which is the international business. We have created a dedicated organization for this. 70% of our sales come from GCC countries, which have grown at about 14.7%. The focus here is again to build the value -added convenience food play. For the

Malayali audience in the GCC, we have launched high -convenience plays with the Madhuram range, which is the sweets range, and the 5-minute breakfast range.

Over the last four years, we have also been widening the appeal for Eastern in these markets by launching a range of Arabic spices. These are continuing to get a good response from the local Arab population.
Coming to the next slide, which is Slide # 14. Given the rapid development of digital commerce or quick commerce in India, this has become an important part, an important area of focus and development for us. In the current quarter, quick commerce has grown by 49% and now contributes to roughly 10% of our domestic sales. These estimates are in line with industry developments that are taking place. To support this channel, we are constantly improving our digital marketing support and improving our capability in this area.
So, these are broadly the key initiatives that we have done in Quarter 2. With this, I am going to hand you over to Suniana to take you through the financial performance.
Suniana Calapa: Thank you, Sanjay. Let's look at Slide # 16, our key financial highlight for Quarter 2 FY 2026. Orkla India delivered revenue from operations of INR 6,503 million in Quarter 2. Revenue growth for the quarter was 4.9%, driven by robust volume growth of 7.7%. EBITDA for the quarter was INR 1,097 million. EBITDA margin remains strong at 16.9%. PAT for the quarter was at INR 767 million, with PAT margin of 11. 8%.
Moving on to Slide # 17. As a result of strong focus on driving penetration, the

company saw
robust volume growth in Financial Year 2026 with Quarter 2 volume growth of 7.7%. While revenue in the quarter grew at 4.9%, revenue from operations, excluding other revenues, such as production -linked incentives, export incentives, etc., revenue growth was 6.8%. Convenience foods grew by 19.2% in Quarter 2, led by a strong performance in the sweets category, which grew by 26.4%, supported by a good festive season.
Spices value growth remains soft on account of continued deflation in spices, primarily chil li. To remain competitive, the company had to partly pass on the decline in raw material costs, especially in pure spices , which resulted in lower price realization. Despite a 5.9% volume growth in spices, value growth in spices was 0.1% on account of nearly 6% decline in prices due to passing on reduction in raw material costs to consumers.
Domestic revenues grew by 6.8% in the quarter , led by a strong uptick in volume growth of 7.6% across both spices and convenience foods. Revenues from international markets constitute approximately 20% of total revenues. Growth in the quarter came from convenience foods.
Let's move to Slide # 18. The EBITDA margin continued to remain strong in Quarter 2 at 16.9%. EBITDA margin in FY 2026 has trended stronger than FY 2025. During the quarter, while Orkla

India realized various operational efficiencies, its EBITDA declined on account of higher advertising costs due to an early festive season, one -time GST 2.0 transition expenses, and reduction in PLI. Excluding the impact of GST migration expenses and PLI across both years, Orkla India's adjusted EBITDA growth for the quarter was 7.6%, and the adjusted EBITDA margin was 17.8%, representing a year -over-year increase of 0.2 %.
In both quarters of FY 2026, PAT margin was higher than that of FY 2025, with Quarter 2 PAT margins at 11.8%. I have already explained the EBITDA decline. The incremental decline that you see in the PAT line was mainly on account of lower other income as the company paid out a dividend in FY 2025 of INR 6 billion.
We move on to Slide # 19. The company has seen a robust and strong rebound in volume growth. In the first half of FY 2026, volume growth was 8%, which is the highest in the last three financial years. While revenue growth in H1 grew at 5.4%, revenue from operations, excluding other revenues like production incentives, export incentives, the revenue growth was 6.3%. EBITDA margin for first half of FY 2026 was 17.8%. It has trended well, partly supported by raw material price decline, and partly from various operational efficiencies. PAT margin for H1 was 12.5%, has also trended higher than FY 2025. Despite lower other income, but very strongly supported by an improvement in EBITDA margin.
Now I hand it back to Sanjay for his concluding remarks.
Sanjay Sharma: Thank you, Suniana . Let me sum up our performance for this quarter. Business development continues to be in the right direction with volume growths around 8%. As Suniana said, this level is the highest ever that we have been able to achieve over the last three financial years. This has been supported by the financial season uptick on account of convenience food, as we said, which has grown at 19.2%.
EBITDA development also continues to be in the right direction at 16.9%. It is higher than FY '25. We have got a strong movement happening in the right direction. This has been impacted on account of some one -time effects , due to unplanned GST spend increase in advertising due to festival timing effects and PLI.
Overall strategies to drive depth in the local geographies are also moving in the right direction. International business is developing well in the GCC. Overall things look very satisfactory.

Given the consumption simulation done by the government and reduced inflation and including today's newspaper r

eport where the inflation has come down even more, it should result in an improved consumption environment coming up ahead.

Thank you very much for your time and your attention today. I hand it over back to Siddharth .

Siddharth Borkar: Yes, so moderator would request that we can start with the Q&A.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Resham Mehta from Green Edge Wealth. Please go ahead.

Resham Mehta: So, couple of questions. So, one is just wanted to understand the role of brand salience here. So, with the spices segment having seen 25% deflation in the last two years, what were the pricing cuts that we as a brand took? And also on the flip side, let's say in case of inflation , which you have seen immediately post -COVID. So , at that point of time, what was the inflation and what were the price hikes that we were able to take?

Sanjay Sharma: Thank you for that question. I will take part of the question, and I will give Suniana for the second half of the question. You know, spices , as I said, 60% of the category is still unorganized, right? And only 40% of the category is organized. Of the category, we still have a fairly large portion of the category which is into pure spices and the remaining portion is into blended spices. Now, for the pure spices , we have to mimic the premium that we can command relative to the unorganized market is anything between 10 % to 15%. And anytime when we try and take a premium greater than that, we do see a shift back into the unorganized market because people can go out, buy the chi lli and process it themselves. So, for a brand , people are willing to pay a premium of 10 % to 15%.

So, we tend to track the prices of the mandi very, very closely. We buy 52 weeks in a year from the mandi and we know exactly every week what is going to be the wholesale price coming into our markets. And therefore the pure spices market MRP that we give to the consumers is connected to the movement of commodity. Most of the times, we have seen that these movements are not very drastic.

As I said, these two years have been exceptional. I would almost call them as a black swan event for the spices industry. And the prices have been crashing on account of bumper crops in two consecutive years that we have got. So, in pure spices , we have taken this correction and mimicked the drop in price that has happened over the last eight quarters. And that is what impacts the revenue growth number, as you can see. But you will see that what we have been able to do very successfully in pure spices is to use this opportunity to drive very, very strong volume growths.

When it comes to blended spices, in blended spices, these are recipes, often cannot be mimicked by the consumer. We are a heritage brand. We came out of a restaurant in Kerala . We, again, are a 40-year-old brand, which has built credibility over the many decades of experience that we have got. And our recipes reflect the consumer tastes very, very closely. And we constantly test it with the consumers time and again. Here, the consumer is more willing to pay a premium for the usage of our products as we reflect the local culture and the l ocal taste in the best possible manner.

This segment also does not get too affected by the drop in prices. And of course , when things are getting cheaper in terms of spices, we often have to pass on some level of consumer discounts, increase in advertising to ensure that the consumer continues to see value in our products. And we have constantly done that. Given the sharp drop in prices that have happened, we have been able to discount only to a particular level. We don't go below that because it may actually end up impacting the br

and and the br and image and the premium brand image that we enjoy. So , that has broadly been our strategy in terms of pricing across the two segments.

Resham Mehta: Sir, just a follow -up. Sorry, go ahead.

Sanjay Sharma: No, please go ahead. That's enough from my side.

Resham Mehta: So, just when you say that we had to mimic the deflation, it means that if there was a 25% deflation in the last two years in commodities, it means we would have taken 25% kind of price corrections also.

Sanjay Sharma: That is correct.

Resham Mehta: And similarly on the sharp, during sharp inflationary periods, we would have been able to pass

on swiftly to the consumers , like say the post -COVID time ?
Sanjay Sharma: That is absolutely correct. We are able to , especially in pure spices because then we'd never want to be that you can buy from the wholesale and process it and that will be more expensive than the packaged food product. I think that scenario we don't like to ensure. So , whenever the prices go up in pure spices, we directly pass it on to the consumers. Our brands are able to support that price increase. And in blended spices also, we are able to very clearly pass on the price increases.
Resham Mehta: But in blended spices, I think if there is a deflation of 25%, we may not need to take a 25% cut, right?
Sanjay Sharma: That is correct. And that is exactly what I was saying, that we tend to operate 10 % to 15% discounts. We don't like to give more than that discount because then it starts to impact the premium image of the brand. And our brands are more important, very important for us.
Resham Mehta: And the second question is on the high market share. So , as I understand, our market shares in Karnataka and Kerala are almost 30 %-40%. I am not sure if this is a percentage of the organized market or the overall market. But let's say if this is of the overall market, then from 30 %-40%, what really is the room to expand market share from those levels?
Sanjay Sharma: So, I think first, the market shares are largely in relation to the organized market only. So , there is still a 60% unorganized market which is sitting out there. And if you heard my articulation of my opening articulation around brand, I said that if you look at our per capita sales, you would

see that our per capita sales was in Karnataka for the year of 2025 was Rs. 110 per person per year. That means we were extracting Rs. 110 worth of sale per person per year.
Now, the largest selling product in our portfolio is sambar 100 grams, which retails for Rs. 76 for 100 grams. Now, when you divide 110 by 76, you get roughly 120 grams of Sambar powder being bought by every person in Karnataka for the whole year. Now, when you look at sambar , which is made five times in a week by the house, by the person, and you multiply that by 52 weeks in a year, you will get 260 consumption occasions. And if you take 120 grams of sambar and you take anything between 10 to 12 grams of sambar powder, which is used to make sambar, you will get roughly, I think, 12 consumption occasions over 120 grams of sambar. So, today we are only catering to 12 out of the 260 possible consumption occasions.
So, we believe that there is plenty of room for growth in our local markets. And the room for growth in the local market is going to come by us expanding the market. That is the first fundamental thing, which is really moving people from unorganized segment to the organized segment and then starting to drive , so that is mostly going to come out of penetration.
But then also looking at driving frequency , range, we have a range of 200 products, but you believe the 200 products, if you look at the top 10 products itself, we should be able to sell at least 10 products into the consumer households. And it is also to do with the value of products that we sell. S

o , if you buy a basic spice , it is at Rs. 40. And it is a chill i sold for Rs. 40 for 100 grams. A sambar powder is sold for Rs. 76 rupees for 100 grams. More convenience food is actually sold for about Rs. 90 to Rs. 100 for just one serving. So , you can s ee the price premiums that we can also expect out of the consumer across different kinds of products that we get.
So, these are the factors that we use to drive growth and drive depth of consumption. You have to understand that we are in a category which is of basic, which is a very basic need, which is food. And in India, there can be no food without spices. So , we are a very, very basic product, which is very essential for everyday use. In fact, two times or three times a day used by consumers. So , when you look at us from that perspective, you will see that the depth, the opportunity to grow is still very, very lar ge in the local geographies that we are in.
Moderator: The next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.
Manoj Menon: Hi, team. First of all, congrats for the first conference call and the very detailed presentation. Quite a few things, actually. The first one, let me start with the longest conversation with the previous participant. If I am to summarize this in one line, Sanjay, essentially you are saying that in the pure spices, you largely operate with a profit per ton metric, right? That is a simpler way to interpret it.
Sanjay Sharma: Yes.

Manoj Menon: Understood And you mentioned that both during deflation and inflation, you are able to protect the absolute profit per ton.
Sanjay Sharma: Absolutely.
Manoj Menon: Understood Loud and clear. Now, secondly, on the opportunity, I did hear this comment about, let's say in Karnataka, that example you mentioned about, let's say the current consumption is X

and the opportunity is probably far bigger. But if you could talk a little about, given that MTR has been there in the portfolio for a fairly long time, let's say, on the marketing interventions we would have undertaken, or maybe the industry would have undertaken also, to actually impro ve the conversion from, let's say, 0.1 to a f ar bigger number. Or just on the journey of, let's say, how to achieve this much penetration itself, and then how do we think about this into the medium term. The actual interventions to drive the, let's say, upgrading from something to, let's say, your products or even to industry?

Sanjay Sharma: Yes, I think we take a whole series of initiatives. I think let us start with the most fundamental initiative which is around making our products available at an arm's re ach. So, it is about driving distribution and we have been able to successfully , you know, in fact, let me step back and say that in 2007 when we took over the business, our per capita sales per person in Karnataka was Rs. 16 per person. And over the last 18 years, we have been able to lift it up to Rs. 110 a person. So, this has been the journey that we have undertaken.

And our focus has largely been on account of continuing to first build distribution and availability. So, if you look at the RHP, and we have still not started to share the Nielsen data at this point of time because Nielsen data is currently undergoing quite a few changes and is not really fully representative of our category. But we do hope that will stabilize a nd we will come back with Nielsen data during our investor calls also.

But till that time, let me just refer back to the RHP and the prospectus that we had rolled out. And you would see that today, our distribution in Karnataka, and I am just going to take Karnataka . It applies to other markets also. In Karnataka, it is at 70% distribution. And this 70% we have built over the last 18 years. I mean, it was much lesser. And we have systematically expanded the coverage

of our products.

But when you look at 70%, it does not mean that all our products are available at 70% of the outlets. It is any one product of MTR available at 70%. So , if you look at it across the range, you will see that some of our products are available only in 30% of the outlets, some are at 20%, some are at 40%. But the largest selling product, I think, is at about 60 %-65% availability. Any one product of MTR is at 70%.

So, we still have a big task in terms of distribution that is there. And we are constantly doing that, not only increasing the width of distribution, but also ensuring that we improve the availability of our products across different products.

In the current quarter, I had given you an example of how pure spices was a very limited play in MTR. We learned this play after we acquired Eastern. And we are now executing that strategy. And you see that our volumes are growing at almost 40%. And our distribution and availability of our products is also expanding very, ve ry sharply.

We do this across the entire range by continuously building distribution. We are doing a lot of rural programs. In the rural programs, these are not traditional programs. We do sampling at temples. We do sampling at hearts. We participate in the local mark ets that are there in all rural areas and do several incidences like this.

Besides this, all of this is supported by advertising. And given the fact that we are in the southern part of India where languages tend to make the market insular, it actually acts as a benefit for us because all the advertising that we do is largely done in local Kannada speaking channels which makes it very efficient and we use very heavy bursts to dominate the share of voice as far as advertising is concerned and influence the consumer to buy our products. And then these are obviously supported by cons umer promotions and several other initiatives that we do from the traditional consumer marketing proportion to ensure that we are constantly meeting the objectives that we have set of either driving penetration, driving frequency, driving range, driving price.

Manoj Menon: Super. Thanks, Sanjay. Just one small follow -up here and then I will step back in the queue. So , if I have to look at GT, only GT rather, no e-com, no QC, no MT, just GT. And if I have to, let's say, divide or classify the outlets into three parts, one is, let's say, the family grocer, then there is mass retail, and then probably the kiosk. I would presume that most of the products, maybe not all th e products, most of the products which you sell are something, let's say, which can only be sold in a family g rocer sort of an outlet and probably not in a mass retail or a kiosk. So , if I am to take that lens, where do you put the , let's say, the comment about the distribution opportunity, would it still remain the same or would there be some nuances you will make to that statement?

Sanjay Sharma: So, Manoj, I would just take that thing and put it in more familiar language for myself. I would say, we definitely don't sell in the Pan Bidi outlets. That is certainly out for us. Where we sell a lot is what we call as the grocers or open format outlets. We sell a lot as far as kirana outlets are also concerned, where you go to buy your regular groceries , right? These are the two key outlets where you will see us present. General stores , OFOs in general stores, grocers and kiranas. So , these are three most important outlets where we tend to sell. I hope I have answered your question, Manoj.

Manoj Menon: Yes. Largely. There is some clarification. I will step back in the queue or I will take it separately offline with Siddharth. Thank you Goodluck.

Moderator: The next question is from the line of Sameer Porecha from Porecha Global Private L

imited.

Please go ahead. As there is no response from the line, we will move to the next question, which is from the line of Akshit Jain from Sixth Sense . Please go ahead.

Akshit Jain: Good evening, Sanjay and team. Congratulations on your first earnings call. I have a couple of questions. Firstly, you mentioned that commodity pricing, especially in prices, has dipped by almost 25% in the past couple of years. Have we seen a rebound in Q3? An d how do we look at these price movements going forward?

Sanjay Sharma: Thank you for that question. You know? Typically, we will not be giving any forward -looking statements in terms of how the pricing will go ahead. Firstly , the sowing seasons are going to start now for most of the commodities. For Chil li, the sowing season has already started, but we are in the process of doing our crop outlook surveys at the current moment.

So, I don't have a clear, definitive perspective on the future on these commodities at this point of time. We would have a more definitive perspective on the commodities in the next earning call. By that time, our crop surveys would be complete. The sowing fo r, let's say, coriander, cumin and turmeric would be completed and the crops would be well in the way. And we will be able to give you a perspective at that point of time in terms of how the season ahead or the season is developing at that point of tim e.

Having said that, I think it is quite logical for you to understand that we have had two consecutive years of very low pricing as far as , a 25% drop in pricing as far as these commodities are concerned. And typically, when something like this happens , the farmers are not really very happy with the crop and the profitability and the earnings that they have got out of it. So , they would then take the requisite kind of actions for such crops because most of these crops are replaceable.

Akshit Jain: Also, now that we have scaling our Karnataka business also by growing pure spices. So, is our focus primarily going to be in Southern India, where we are strong? Or at the same time, in the short term, we can also expect expansion in Northern and Western India ?

Sanjay Sharma: Yes, thank you again for that question. Again, I would like to refer to my opening comments that I said. We are available across India. We have been there for the last 20 years. It is not that distribution has not been there. You can go to any part of India, especially the top 150 towns of India, you will see that we are available. But despite being available everywhere, we still get a dominant portion of our business out of the south ern regions of the core markets that we operate in. So , it is not that we have not expanded. We have expanded.

The question actually comes up as to why are we so concentrated in terms of our geographical sales. It is largely because that our products reflect the local culture. So , when I come to Karnataka, my largest selling product out here is Sambar, Puliyogare, Rasam, Bisibelebath so on and so forth.

Now, i f you are from the north of India or from Maharashtra, you possibly will not be consuming some of these products on an everyday basis. Whereas in Karnataka, many of these products are consumed every day, if not five times a week, as I said, in case of Sambar and Rasam, now .

And I think what we like to do is to build depth of business and amongst the core local community. I mean, our sambar that we make for Karnataka actually does not sell in Kerala also. For Kerala, we have to have a different kind of sambar. And for Andhra Pradesh, we have to have a different kind of sambar. Because each of these are states with very, very different taste profiles. So , you see that food is very local. And because it is local, you have to start to reflect the local culture very strongly. I hope I have made my point to you.

Akshi

t Jain: Sure. Thanks. And just lastly, I just wanted to clarify, we call it digital commerce on Slide # 15. Does that include e -commerce also?

Sanjay Sharma: Yes, so I am using digital commerce as a very generic name. It includes both e -commerce and quick commerce. And today almost 70% of the sales that we get are actually all coming out of quick commerce outlets. E -commerce has shrunk from being 100% of the catego ry to only 30%.

And I believe that in the next few years , we will only have quick commerce in the large towns of India.
Akshit Jain: Got it, Sure . Thank you so much
Sanjay Sharma: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
Siddharth Borkar: Thank you all for attending this call. Please do get in touch with us in case of any further questions. And we look forward to interacting with you again in the future. Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Suniana Calapa: Thank You.

Call: Feb 2026

ORKLA INDIA LIMITED
(Formerly known as “Orkla India Private Limited”)
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February 17, 202 6

BSE Limited,
20th Floor, P.J. Towers,
Dalal Street,
Mumbai - 400001.

Scrip Code: 544595
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Scrip Symbol: ORKLAINDIA

Dear Sir / Madam,

Subject : Transcript of the Earnings C onference Call with Analysts/ Investors on the financial results for the quarter and nine months ended December 31, 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations ”), please find enclosed the transcript of the Earnings C onference Call on financial results for quarter and nine months ended Decem ber 31, 2025, conducted after the meeting of the Board of Directors held on Wednesday , February 11, 202 6.

The Transcript is made available on the website of the Company at :
https://www.orklaindia.com/governance/stock -exchange -intimations/earnings -call-updates/fy -2025 -26/

We request you to take this on record and treat the same as compliance with the applicable provisions of the SEBI Listing Regulations.

Thank ing you.

For Orkla India Limited
(Formerly known as Orkla India Private Limited)

Kaushik Seshadri
Company Secretary and Compliance Officer

Encl.: as above

“Orkla India Limited
Q3 and FY '26 Earnings Conference Call”
February 11, 2026

MANAGEMENT : MR. SANJAY SHARMA – MANAGING DIRECTOR AND CEO,
OKLA INDIA LIMITED

MS. SUNIANA CALAPA – CHIEF FINANCIAL OFFICER ,
ORKLA INDIA LIMITED

MR. SIDDHARTH BORKAR – HEAD, M&A AND INVESTOR
RELATIONS , ORKLA INDIA LIMITED

MODERATOR : MR. ASHUTOSH JOYTIRADITYA – ICICI SECURITIES
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Orkla India Limited Q3 and FY '26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashutosh Joytiraditya from ICICI Securities. Thank you and over to you, sir.

Ashutosh Joytiraditya: Yes, thank you Vansh. Hello and good evening, everyone present on the call. I, on behalf of ICICI Securities, welcome you on Orkla India Limited's Q3 FY '26 Earnings Call. I now hand the call over to Mr. Siddharth Borkar from Orkla India Limited for further remarks. Thank you.

Siddharth Borkar : Thank you, Ashutosh, for hosting us. Hello and welcome everyone to the Q3 FY '26 results for Orkla India. I am Siddharth Borkar , Head of M&A and Investor Relations at Orkla India. I am joined by Mr. Sanjay Sharma, Managing Director and CEO at Orkla India, and Ms. Suniana Calapa, CFO at Orkla India. I hope you've gone through the investor presentation and other materials that we ha ve uploaded…

Moderator: I'm sorry to interrupt you again, sir, but again your voice is breaking.

Siddharth Borkar : Okay. I hope you've gone through the investor presentation and other materials that we have uploaded. In today's call, we'll walk you through some of the key highlights of the quarter and then we'll open the floor for Q&A. I want to draw your attention to the disclaimer slide as stated in our earnings presentation.

With that, I hand it over to Sanjay.

Sanjay Sharma: Good evening, everyone, and thank you for joining us today. Thank you, Siddharth, for handing over the call to me. My name is Sanjay Sharma. I'm the Managing Director and CEO for Orkla India. This is the second time we are interacting as we present our qu arter three FY '26 results, and we truly appreciate having you with us again. A heartfelt thank you to all the institutions and individuals who continue to place their trust in us.

Over the last 19 years of our presence in India, we've been able to build a strong value -creating company, and we are confident that we will continue on that path in the years ahead. For those joining us for the first time, I will start with a quick intro duction of the business, and then Suniana, who joins me, who's our CFO, and I will take you through our quarterly performance and then answer any questions that you will have.

Let me start with a quick introduction for Orkla India. Orkla India is a South India focused multi - category food company built around strong heritage brands with deep consumer trust. Our

portfolio includes MTR, which is a 100 -year-old brand with a very strong legacy, and Eastern, which has been there for 40 years of market presence in Kerala and other parts of India.

Both the brands that we have hold leadership positions in their core markets: MTR in Karnataka and Andhra Pradesh, and Eastern in Kerala. We operate across two primary categories: Spices, which contributes 67% of our revenue, and Convenience Foods, which contributes 33% of our

revenue.
Together, addressing a wide range of consumption occasions across the day. Our business model is built on a fundamental premise that food is local. Taste preferences, cuisines, and consumption habits vary significantly region to region. As a result, in ou r category, brands with strong local relevance consistently outperform generic national -level offerings.
Our market leadership is supplemented by the strong distribution reach of 673,000 touchpoints

that we have across India, but most of these touchpoints are in our core markets. I would say almost 70% of these touchpoints. In parallel, we have built a meani ngful international business underpinned by migration of Indians. International operations contribute approximately 21% of our consolidated revenues, with our products reaching consumers across 45 countries.
We've also retained our position as the largest branded spice exporter for 24 consecutive years, underscoring the scale and consistency of our execution and supply chain strength. Now, let me just reflect on the macroeconomic environment that we are opera ting in. We see a steady, improving macro environment.
As per the latest economic survey, India's growth is projected at around 7%, and we believe that the outlook remains encouraging. The government has also done a series of initiatives over the last 12 months, such as lowering income tax slabs, lowering int erest rates, and the most important, the GST 2.0 reductions which have been done across multiple categories, especially foods.
I think all these initiatives will lead to a greater amount of money coming into the wallets of consumers, and with this, we expect the consumption trends to improve. The GST restructuring now covers 100% of our products portfolio in the 5% bracket.
A quick touch on the raw material and commodity trends which we operate and which we buy and are largely associated with our products. First, let me speak about spices. In spices, I would like to reiterate the fact that we've had two straight years of def lation. This unprecedented price movement of over 30% was led by chili, which reduced by 50%. This has impacted our value realization, but we remain focused in driving volumes.
Hence, in the quarter 3 of FY '26, deflationary trends in spices continue to weigh on the revenues. However, we are seeing inflation in key raw materials, and we expect top -line benefits to phase in as the inventory turns. On Convenience Food portfolio, w heat and SMP are the crucial raw materials that we buy. The inflation here has been manageable.

Let me come back to spices. We do extensive fieldwork on tracking the development of spices crops in India. The new season for chili has started from December onwards and it will go on till March. For other spices, the fresh season crop will start coming i nto the market from March onwards till July.
Based on our crop surveys done by our procurement team, we have seen a reduction in the cropping areas as farmers, because of the extreme low prices, have moved away to more profitable crops. We are seeing the effect of this in the price development of ra w materials. Early indicators are suggesting that there will be an inflationary trend in spices in the coming year.
With this, let me come on to our business performance. Let me walk through our business performance for the quarter. We have delivered a steady revenue growth of 4.1% supported by a healthy underlying volume increase by 5.4%. Partly, the growth has been i mpacted due to festival timing effects. You will recall that in 2024, the festival season was in the end of October and early November.
The effects of this is largely seen on the Convenience Food portfolio, where we see a very bump up as far as the sweet platform is concerned. Our spices portfolio continues to deliver a fantastic volume growth of 10.1%. However, the revenue growth remains modest because of deflation in key raw materials.
Our Convenience Food portfolio posted a 6% revenue increase. We usually see the effects in sweets portfolio during festival season as I was mentioning earlier, so the results are muted due to the early festival season sales which came into last quarter.
Digital commerce, one of the fastest -growing channels, has expanded by 43.4% supported by multiple initiatives across social media and digi

tal commerce platforms. EBITDA grew by
17.7%, translating into a healthy EBITDA margin of 16.1%.
Now let me go into our two categories. Let me start with spices. In spices, our sustained effort to drive per capita sales through driving of penetration, range, frequency, and value has resulted in a strong 10.1% volume growth across the spices category.
This has been executed through two key initiatives that we have taken. First is building consumer engagement through our advertising campaign, and second is driving distribution by increasing

availability, range presence, and visibility of our core range. These programs have continued in this quarter and in the last quarter as well. Our advertising campaigns have a strong cultural connect and symbolisms. MTR ran its Puliogare campaign in Karnataka and Sambar campaign in AP and Telangana.
For Eastern, which has a focus in Kerala, we ran a major campaign that was launched just shy of Christmas season. Chicken Masala is one of our largest selling products. A 360 -degree campaign was launched in TV and digital. Eastern's Chicken Song, which is what we launched as an advertisement, Eastern's Chicken Song adopted a cultural storytelling approach aimed at resonating across age groups.

The brand plays pivotal to Kerala's enduring relationship with chicken curry and an everyday comfort favorite food of Kerala and a centerpiece of celebrations across homes and communities. In a very short period of time, this campaign was able to generate over 1 million views on digital. Besides this, Eastern continued this focus on building itself as a non -vegetarian masala in Karnataka, driving its distribution and advertising through innovation of Chicken Kebab.
On the distribution excellence front, MTR added 22,000 outlets in quarter four across Karnataka and Andhra Pradesh, materially expanding numeric reach and availability at point of purchase. On-ground visibility drives were executed across 25,000 outlets i n quarter four with a sharp focus on INR5 and INR10 packs as range penetration drivers packs across core masalas of Sambar, Puliogare, Rasam, and Garam Masala. These are our top four selling masalas. On Eastern, our efforts continue to focus on driving ava ilability and visibility of our core product range in an endeavor to drive consumption.
In 2022, MTR learned from Eastern how to play the pure spices category. Since then, over the last three years, we've more than doubled our volumes and driven penetration for MTR from 20.3% in 2022 to 30.6% in 2025 in Karnataka and from 4.3% in 2022 to 13% in 2025 in Andhra Pradesh. Rural markets have also continued to develop to deliver a strong double -digit growth. Rural infrastructure was further strengthened with an addition of 53 new rural distributors, taking a total rural distribution network to 765 across Karnataka, Andhra Pradesh, and Telangana, helping us reach over 5,000 new villages above 3,000 population in our core markets.
Coming to Convenience Foods. Our strategy here is to transform our offering in line with the developing consumer needs for higher convenience. Our Convenience Foods categories are built largely on three key platforms, Sweets, Breakfast, and Meals. In the current quarter, we saw both Breakfast and Meals deliver a solid double -digit growth. On Breakfast, our South Indian breakfast remains the core pillar of MTR's portfolio, led by its flagship products of Rava Idli, Dosa Mix, and Upma Mix.
In quarter four, MTR delivered an impressive growth in South Indian breakfast across all the regions, particularly North and West regions where the value growth was 17%. This performance was underpinned by a strong traction on quick commerce platforms, wi th digital commerce in breakfast growing 45% in quarter four. MTR maintained a high share of voice along with strengthening visibility and consideration in k

ey metros such as Delhi and Mumbai.
MTR's fresh Idli -Dosa batter business, which we launched two -three years ago, has continued to develop positively. The good news is that the business model with its margin has reached a position where we can now look for expansion of the same to other met ro towns. On Meals, a broad -based growth was driven by the Minute portfolio and the Cooking Ingredients portfolio. Task here is to continue to innovate and build a new portfolio of offerings.
On Sweets, as mentioned earlier, the overall business declined due to advancement of the festival season. However, our ready -to-eat sweets, which we recently launched about a couple of years

ago, products like Mysore Pak, the segment has delivered a strong growth of 47.5% during the full festive season, which is quarter two plus quarter three combined. The new range is now distributed across 50,000 outlets. In Convenience Food, our innovations grew at 41.6%, indicating a good traction for all the new concepts that we have launched.
The third pivot of our business is the international business. Our business in GCC countries continue to grow at 16.4% in the past quarter. Our strategy is anchored strongly on the flagship brand Eastern and its two -pronged -- and has a two -pronged approa ch. One, for our core Malayali consumer base, we are transforming our offerings from a pure spices and masala play to a total food play covering platforms like Breakfast, Meals, and Sweets.

At a second level, we are accelerating our penetration with a launch of Arabic masalas to appeal to the local Arabic population. With respect to the Malayali consumer base, our plan is to grow our range to a total food brand. Recently, we've launched the 5-minute breakfast range, which we had launched in Eastern domestic business in GCC. We also plan to -- we will also continue to drive strong consumer activation to grow the core spices range in the Middle East.
In UAE, Eastern is now the number one Indian spice brand in household reach across all households, not just Indian households, but all households. Our Arabic range also continues to grow. Eastern Arabic range now contributes to one -third of brand Eastern' s household penetration in Saudi Arabia.
Coming to Digital, we continue to capitalize on the rapid expansion of digital commerce with revenues in this channel which are growing at 43.4%. Internally, we have continued to drive improvement in ways of working by improving the quality of listing, th e quality of content, driving influencer marketing using real -time analytics to improve performance marketing and campaign effectiveness. These initiatives have continued to drive sales development in line with the industry. Today, we get 9.5% of our sales from digital.
Digital commerce has also helped us in targeting a new consumer segment in a sharper way. This is the affluent young consumer who is seeking the very best global standard product in every category. To serve this emerging need, we have recently launched MT R Prakriti, MTR's first-ever digital -first brand with its own dedicated D2C site and the only D -com-led business targeting all India led by metros.
MTR Prakriti is leveraging our deep knowledge in the spices domain. MTR's foray into pre mium spice space is with four key products. One is Byadgi Chili, second is Guntur Chili, third is Araku Turmeric, and the fourth is Kumbhraj Double Parrot Coriander. All of these are single - origin, handpicked, produced in small -batch spices promising a distinctly superior experience aimed at the discerning consumer seeking absolutely the very best as far as spices are concerned. With this, MTR is targeting all metros a nd any consumer -- Indian consumer --seeking only the best in spices.

This quarter, we've also got a few notable awards

. First is the Great Places to Work. Two of the most critical assets of our business is our people and our culture. Post -the merger of Eastern with MTR Foods and the creation of Orkla India, this was the fi rst engagement survey that we conducted.
We are now certified as a Great Place to Work, which testifies our strong employee value proposition of being a home to grow as well as our good work culture. This is also a testament to the way that we have managed the integration of two diverse companie s and two diverse cultures.
Our advertising and marketing campaigns are also built by —have also been recognized by the industry. Our campaigns are built by positioning our offerings and resonating a strong cultural integration. Some of these innovative local campaigns did see recogn ition from Economic Times and Business World Awards. Our Puliogare campaign and the annual food festival Karunadu Swada have been recognized for the uniqueness and effectiveness.
Now I will hand it over to Suniana to help you take through the details on the financials.
Suniana Calapa: Thank you, Sanjay, and good evening, everyone. Let me begin with the financial highlights for quarter three FY 2026. Kindly take a look at slide 18. Orkla India delivered revenue from operations of INR636 crores, recording a year -on-year growth of 3.4% su pported by a healthy volume growth of 5.4% during the quarter. EBITDA for quarter three stood at INR102 crores, reflecting a strong double -digit growth of 17.7% and a healthy EBITDA margin of 16.1%. Profit after tax before exceptional items was INR68 crores, representing a year -on-year growth of 3.8%.
Moving to slide 19, let's take a look at our category performance first. Spices delivered strong volume growth of 10.1% year -on-year reflecting sustained consumer demand and brand strength. Overall, spices revenue growth was moderate at 3.1%. This was pri marily due to continued deflation in spices, especially in chili. To remain competitive, the company partly passed on decline in raw material costs, particularly in pure spices, resulting in lower price realization of approximately 7%.
Convenience Foods in the quarter grew by 6% driven by strong double -digit growth in the breakfast and meals category, reinforcing the strength of our value -added portfolio. Sweets during the quarter saw a temporary decline attributable to the shift in fes tive season. From a geographic perspective, domestic revenues grew by 2.9% led by strong double -digit volume growth in spices, partly offset by decline in price.
Growth in Convenience Foods, particularly sweets, was relatively softer due to the festive shift.

International revenues grew by a healthy 8.7% in the quarter, with GCC markets leading the performance driven by strong growth in Convenience Foods, mainly i n breakfast and in meals. Moving on to slide 20, EBITDA growth remained robust at 17.7% in quarter three with EBITDA margins holding strong at 16.1%. This performance was driven by volume -led revenue growth,

lower advertising spend in the quarter due to the festive season shift, and sustained focus on operational efficiencies. In addition, excluding the impact of production -linked incentives, EBITDA growth for the quarter would have been even stronger at 23.2% .

While EBITDA growth was strong, PAT before exceptional items grew at a measured pace of 3.8% primarily due to lower other income following the dividend payout of INR600 crores in FY 2025. During quarter three, the company recorded exceptional items of INR 15.8 crores relating to gratuity expenses following the implementation of the new labor code. Consequently, PAT after exceptional items was negative 14%. The company remains firmly focused on driving volume -led growth, accelerating the expansion of its val ue-added portfolio, and continuing to strengthen its operating efficiency.

Moving on to slide 21, let's take a look at our year -to-date performance. The company has delivered a strong rebound in volume with year -to-date December volume growth of 7.1% supported by solid performance across both spices and Convenience Foods. Revenu e from operations grew by 4.7% reflecting the company's decision to pass on price benefits to consumers, particularly in spices, in response to lower raw material costs. Year -to-date EBITDA grew by 7% driven by volume -led growth and continued operational i mprovement. EBITDA margin expanded to 17.2%, an improvement of 40 basis points year -on-year led by sustained operational efficiency initiative.

In addition, excluding the impact of production -linked incentives, the EBITDA growth for year -to-date FY 26 would have been at 11.9%. Profit after tax before exceptional items grew by 1.6% with growth moderated by lower other income. Now back to you, Sanja y, for your concluding remarks.

Sanjay Sharma: Thank you, Suniana . Let me just sum up the quarter, the performance this quarter. Business development continues to be in the right direction with focus on volume growth in spices. Digital channels and rural both have been doing well for us. Overall strategies to drive dept h in local geographies are moving in the right direction. We have been able to drive penetration over the three -year periods that we are tracking penetration on, and we have a strong margin development path as we continue t o reap the benefits of operating leverage.

With expected improvement in overall consumption, spices deflation now behind us and inflation coming up ahead, we hope to see some good quarters ahead of us. Before I conclude, a few remarks regarding how do we see development going ahead. Our efforts to -- will continue to build spices through a strong local focus. We will continue to drive consumption in our core geographies.

Our efforts over a three -year horizon have helped us improve penetration in our core geographies and we'll continue to do more of that. We have a strong conviction on -- of an improved top -line performance supported by an improved environment for consumpt ion, a strong volume development and a deflationary cycle turning around. On convenience food, all three platforms have shown promise and successful innovation development.

Our business models are stabilizing and are resilient. We are also strengthening our digital commerce capability in the organization. Furthermore, we are systematically expanding our footprint focus to play across major metros. Our demand flow has been de veloping very well. On the international business, that has been developing well in the Middle East. We will -- we now see an improving global environment and bilateral FTAs are expected to support less volatile environment for business in the future.

I believe this should be good for exports from India. And from a profitability point of view, we have delivered a strong EBITDA growth and profile and we expect to maintain the same. Thank you very much for your attention, and we'll be happy to take any q uestions that you may have.

Moderator: Our first question comes from the line of Rajit Aggarwal from Nilgiri Investment Managers.

Rajit Aggarwal: Good evening, sir I have a few questions related to the sequential movement in revenue and EBITDA margins. Is it possible to share the volume growth or the volume decline from Q2 to Q3? And then I'll have a follow -up question on that?

Sanjay Sharma : So I'll give this to Suniana . I think Suniana is best suited to answer this.

Suniana Calapa : Yes, so Rajit, the volume growth in quarter two, which was also a Diwali quarter, was at about 7.7%. And you've seen the numbers for this quarter, it's a 5.4%.
Rajit Aggarwal: Right, ma'am. No, I wanted to know the volume movement from Q2 to Q3.
Suniana Calapa : Yes, from Q2 to Q3 th

e absolute volume growth ?
Rajit Aggarwal: Yes, ma'am.
Sanjay Sharma: In metric tons.
Suniana Calapa : In metric tons. Okay. So it is slightly down, Rajit. It is versus sequential quarter -on-quarter, the growth is minus 4%.
Rajit Aggarwal: So most of the de -growth in top -line is explained by the volume de -growth?
Sanjay Sharma : Sorry?
Rajit Aggarwal: Most of the de -growth sequential decline in topline but we – explained by the volume de -growth. And there could be some upside on the revenue or the realization, right? Since the sequential decline is just minus 2%?
Sanjay Sharma: I think you need to also take into account the festival season effects that are there out here. Given the fact that Orkla has had a festival season quite late in the year last year, which was -- when I say last year, it's 24 -- so it was somewhere in the f irst week of November. So a large portion of the festival season sales was captured in October and November.

Rajit Aggarwal: Right, sir. And given that the Q2 had certain impact due to GST transition and we had -- I mean, there were some comments in the last call saying that 25% of the sweets portfolio was impacted and then 7 to 10 days of billing could not take place. The sales could have been much higher in Q2 and a subsequent -- and hence the decline could have been starker in Q3. Is that understanding correct from the top line?
Sanjay Sharma: Yes, I think because the GST impact came into the sweets portfolio where the GST reduced I think from 12% or 18% to 5% and we had to manage that transition. So we would have lost some sales in quarter two. We could have certainly done better out there and therefore there would be an impact in terms of volume out there.
Rajit Aggarwal: And you think the sweets portfolio or the convenience food portfolio will be able to buck the trend in the next or the subsequent quarters?
Sanjay Sharma: Most certainly. I think as I said -- as we said -- I mean if you look at the overall performance for convenience food on a YTD basis, we are at about 12.1% growth. So overall portfolio is still -- I mean while we see quarter -by-quarter growth variations, t he overall development is very good. We are starting to see the breakfast portfolio doing nearly a double -digit growth. The sweets portfolio doing a double -digit growth, and the meals portfolio also doing a very strong double -digit growth. So overall the convenience food portfolio on a YTD basis is still running a 12% growth.
Suniana Calapa : And Rajit, if I could just add, we should also break up the business between spices and convenience foods. So while overall there was a decline of 4% in volume, spices, which is about 67% of our business, the volume growth was about 3.4% sequentially.
Rajit Aggarwal: Right, ma'am, right. That's helpful. On the EBITDA margins as well, again in Q2 we had an impact due to the GST transition. There were additional advertising expenses and labor costs involved, which probably are not there in this quarter. And despite that, the Q3 EBITDA margins are lower than the Q2 EBITDA margins. Any reasons for that?
Suniana Calapa : Yes, so that is also primarily led by gross margins. We've seen softening of gross margins primarily related to mix effects. convenience foods comes at significantly better gross margins. So we've seen some softening in the gross margins and that's led to the EBITDA margins being slightly softer versus the previous quarter.
Rajit Aggarwal: Right, sir. And if I can just squeeze in one more question related to the expenses. Sequentially again, the employee expenses have reduced by about INR6 crores. And other expenses have also reduced by similar amount. Any one -offs? I mean, is this related t o that GST transition only because of which the Q2 expenses were higher?
Suniana Calapa : Q2 was slightly higher because we had som

e one -off expenses related to the IPO etcetera, sitting in September. Plus we've also done some off -rolling of manpower in some of our locations, and that's also led to reduction and therefore that's, you know, perm anent in nature.

Rajit Aggarwal: Ok, that's very helpful thank you.
Suniana Calapa: Thank You.
Moderator: Our next question comes from the line of Dishant Jain from Quasar Capital.
Dishant Jain: Thank you for the opportunity Sir, can you provide some more details on the international markets other than the GCC countries? Like how are we growing there or doing there?
Sanjay Sharma: So I think 70% of our sales comes out of the GCC markets and you've seen the growth coming out of there. On the rest of the markets, I think on US markets and the North American markets we are I think flat in terms of -- there's a decline in our growth ou t there, largely on account of the fact that last year we changed our distribution network and there's been a little bit -- and also the Red Sea crisis was there last year.
So there was a lot of stock build -up that had happened as far as the US markets are concerned. We still don't have any concerns in United States on account of consumer offtakes, largely on account of the fact that because of the tariffs -- so we still believe that tariffs have not impacted consumer offtakes.
It's really the high stock build -up that had happened in the United States. Over this year we've seen that the Red Sea crisis has reduced substantially and the delivery times into the US have improved, in fact reduced a lot. So we've been able to cut the stock levels to -- we are working to cut the stock levels to normalized levels by the first quarter of this year.
Dishant Jain: Okay, sir. And since in domestic we have a local state kind of a business, so are we planning for some inorganic acquisitions of different -- in different states?
Sanjay Sharma: Yes, so as far as M&A is concerned, I think it's an important strategy for our growth to go beyond our local agenda. But we don't make any comments about M&A. As you know, the nature of the beast by itself is quite fickle and we are -- I can assure you that that has now become a major priority for us and we are working quite aggressively with a few opportunities that we are looking at.
Dishant Jain: Sure. And lastly, on the -- would we be able to provide OCF number for nine months? Operating cash flow number?
Suniana Calapa : No, Dishant, we will not be able to provide the OCF number for nine months.
Dishant Jain: Ok, thank you for the opportunity.
Moderator: Our next question comes from the line of Resha Mehta from GreenEdge Wealth.
Resha Mehta: Thank you for the opportunity. So, the first question is you know on this trend, inflationary trend that we are seeing and on the spices side. So have we already started seeing that inflation

creeping into our procurement and hence, do we see that we would be able to pass on the prices to consumers by taking price hikes anytime soon or have -- or have we already taken price hikes?
Sanjay Sharma: Yes, so based on our mandi buying we participate in the mandi 52 weeks in a year. So we are starting to see that the rates are starting to go up. We are participating in the mandi at this point of time and the materials are coming in. We're also sitting on co vers for raw materials in our business. And therefore, based on how the trends are moving as far as the mandis are concerned, we are looking -- we have -- we are continuously adjusting our prices.
We have two parts of our business, one is the pure spices business where we track the mandi rates on a weekly basis, we track the wholesale rates in Karnataka and Kerala, and we keep adjusting the prices based on what the wholesale, landed wholesale rates

are in the two respective
states. So on pure spices, these adjustments continue to happen as part of a regular process. The other part of our business is the blended spices business and on the blended spices, it's a more recipe -based, it's more based on h eritage and culture and our brand equity.
Here we are able to certainly pass on all the price increases. However, masalas out here is a composite of multiple pure spices. So if you were to take Sambar, it consists not just of chili, but it also consists of coriander, it also consists of turmeric. So the effects out there are not really substantial and we will be observing the development of prices as we make changes in prices as we go ahead.
Resha Mehta: So basically safe to assume that no price hikes have been taken at a blended portfolio as of yet?
Sanjay Sharma: It's too early because the season starts only in the -- in December. So by the time the price effects, it takes us time to execute price effects also. By the time the effects will come, it will be mostly in the first quarter onwards or late first quarter onwards.
Resha Mehta: Okay. So maybe Q2 onwards is when we start seeing some inflation benefit also from a revenue growth standpoint. Would that understanding be right?
Sanjay Sharma: You will see some effects in Q1 -- sorry in Q4 and in Q1 of next year.
Resha Mehta: But the deflation will completely go out of the base by Q1 or Q2?
Sanjay Sharma: See, our pricing strategy is based on how the mandi pricing is done -- is developing. It is not based on our covers. It is more based on our mandi pricing. So given the mandi price movement

which will start happening for chili in December and January and February as we are starting to see and some of the other crops will start coming from March and April, we will start to see the full effects coming in —some effects coming in quarter 4 of this year and some effects and major effects coming in quarter 1 of next year.
Resha Mehta: The reason I'm asking this question is because there's been a very wide volume revenue growth gap. And that is majorly attributed to the deflationary cycle. So just trying to understand, when

is it that we see the anniversarization of this deflationary cycle and start seeing the benefits of inflation in our revenue growth very constructively?
Sanjay Sharma: Yes, so I think it will still remain what I just answered to you.
Resha Mehta: Got it. And what was the spices volume growth for Q1 and Q2? I think Q3 you all have called out it is 10%. For Q1 and Q2, what was the spices volume growth?
Sanjay Sharma: Give us a second, we'll just tell you.
Suniana Calapa : Yes, so spices volume growth in Q2 was 5.9%. And was 8.7% in quarter 1.
Resha Mehta: Sure. And I think you were referring to some cross -learning from the Eastern acquisition for th e pure spices portfolio of MTR?
Sanjay Sharma : That is right.
Resha Mehta: If you could just kind of elaborate on that?
Sanjay Sharma: So –in MTR, before we acquired Eastern, 90% of our sales in the spices and masala category used to be largely out of blended spices and only 10% of our sales used to come out of pure spices. And we never used to play pure spices as a category very seriously beca use it was a very commodity category and it used to have a very strong price sensitivity.
After we acquired Eastern, we got to understand how to -- how to deal with the market when we deal with pure spices. And Eastern had a very good system by which they did it. Part of which was how we bought in the market and how the buying and the selling supply chain was linked and what was the basis of doing pricing and being active in the market.
The other underlying thing that we also understood out of that was the fact that still a large portion of the market was unbranded. 60% of the market is still unbranded and 40% of the market is branded in pure spices. So there is a very strong linkage bet ween how the unorganized market works and the branded market. So we can only play within a band of 10% to 15% price premium out there.
I think some of these learnings when we understood and we aligned our pricing models and the - and the cost of our formulations and other things from the learnings that we got out of Eastern, we were then able to effectively play in Karnataka and be effec tive against the smaller local brands that were dominating the -- the local market of Karnataka. Even though we were very expensive as a -- as a pure spice brand.
We were still the number one brand in pure spices. But we saw here an opportunity where we felt that the only distribution gap that we had in this category was largely linked to the fact that there were outlets that used to carry pure spices and did not ca rry blended spices. So we found that being present in pure spices was actually a very important strategic initiative that will

actually help us increase our distribution and thereby increase the presence of the brand in terms of penetration and households.
So we decided therefore to use the learnings out of Eastern and get into the market. We made the shift in 2022 and over the last three years we've actually more than doubled the volumes of MTR in these in Karnataka and in Andhra Pradesh and that has led t o the increase in penetration from 20.3% to 30.6% as far as Karnataka is concerned and from 4.3 in 2022 to 13% in 2025 in Andhra Pradesh.
Resha Mehta: And which in turn has led to revenue of pure spices increase for MTR from 10% to how much now?
Sanjay Sharma: The salience of pure spices I don't have the number at the back of my hand. Maybe we can have that sent to you at a later date.
Resha Mehta: Sure. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Nitin Shakdher from Green Capital Single Family Office. Please go ahead.
Nitin Shakdher: Hi, good afternoon to the management of Orkla. This is Nitin Shakdher from the Green Capital Single Family Office. My question is more as an investor. Just wanted to understand the export market initiatives that Orkla is taking into the European market wi th some of the packaged foods

and just wanted to get a sense of the increase in the distributor network and some areas and territories that you're targeting because there is a demand for Indian food not only from the Indian diaspora, but als o from people who are wanted to have global food and convenience food. So it seems like a good market to tap into now and increase your exposure. So just wanted to have management comments on that, please?

Sanjay Sharma: Sure. So let me give you the genesis of the international business that we had. I think we believe that food is local and therefore the only way food migrates from one place to another place is when people migrate. It's valid as far as India is also conce rned because let's say a North Indian will not have Puliogare and Bisi Bele Bath and a South Indian will not have Paneer every day. So only way Bisi Bele Bath and Puliogare will migrate to North of India is if a person from Karnataka migrates into Delhi. And that's been typically the reason how food is migrated. Similarly, when you look at international business, Eastern migrated out of Kerala from Kerala to Middle East beca use we all know that a large amount of Malayalis have actually migrated into the Middle East.

And, of course, they will continue to consume local food which they have grown up on and therefore the brand their favorite local brand in Kerala was Eastern and therefore Eastern had the opportunity to go into GCC and build itself. Similarly is the story of MTR. MTR also migrated from Karnataka into United States and other country in Europe and other countries

largely on account of the migrations of Kannadigas and the larger South Indian community that go -- went out there who wanted their familiar food and therefore continued to buy our brand. So this is the reason why our food migrates. When we did the Eastern acquisition, we had a strong synergy between MTR and Eastern. It is the basis on which we built the international business. Now, we have now merged both these businesses, we have now cre ated one entity which now contributes roughly 21% of our total sales and you can see that there are very complementary footprints because Eastern, a major portion of its business actually almost 90% of its business came out of GCC whereas 10% from few othe r scattered countries whereas MTR was very strong in the rest of the world, and had a very strong footprint of around 35 to 38 countries.

When we merged both the businesses, both the brands have been now taken to over 45 countries across the world and that's the business. So MTR is strong in North America, Canada, Europe, Australia, New Zealand, Japan, Singapore, Malaysia and all these plac es whereas Eastern largely' s dominance was in the GCC part. That's the way we have constructed our business. Our business continues to grow at the back of immigration, and I think despite the headwinds on immigration which are there either in the US or Europe and Australia and all around the world, people are still migrating and we do still get -- we still get a lot of demand from different parts of the region. The international business we run on three key business models. The first is focus countries where we have our own organizations. These are fairly large country where we have actually set up a country team s that runs the entire business.

The second is medium -sized businesses which is -- the first is largely GCC. The second is US - Canada where we are -- we've reached a certain scale and we are now starting to build and customize our business for the region out there, and try and launch prod ucts that are meaningful for the international market where we are now starting to put feet on street in the major portion of the countries that we cover are mostly opportunistic markets where we have distributors, where we ship products to.

We get demand from there, where we are shipping products to when they monitor the sales and marketing activities at a very broad level. It's largely left to the distributor and our people visit these areas to ensure that we do some level of market developm ent that happens in countries. So this is the way our international business is structured.

Nitin Shaktdher: Okay, great. Thanks a lot for that great background. My question was also in connection to let's say what we're seeing initially on import duty and free trade agreements being signed between Europe and India. So is that a opportunity for a company like Or kla to develop the European market a lot more? Obviously, as you rightly said, it's a factor of immigration and where like - minded people have like -minded food.

But that's nothing to say that there is a -- there is a market for spices in East Europe, there is a market for fusion food as well. It's not only that the Indian Malayali consumer will consume

that. Yes, there will be a preponderance of that, but is there a potential to develop the market in areas in Europe which you think might have lower volume right now but maybe in the long run the volumes might pick up?
Sanjay Sharma: Yes, I think, we have a very, very different business philosophy, and the philosophy largely governs the way we run our business across India and across the world. We do believe that food is local, and it's important for us to reflect the local culture in a very, very strong way, and that is what helps you differentiate, helps you deliver taste and flavor to consumers as l

ong as it
resonates with the local culture. We do not believe in a generic approach of taking a commodity and trying to se ll a single type of commodity to the rest of the world.
And we believe that that is a undifferentiated and a very commodity -like approach which will not generate margins and effectiveness in the market. And therefore we don't pursue such strategies. Therefore, we are very strongly linked to the culture of -- to the migration of relevant target groups and serving them with the kind of food that they have consumed in India. So of course, theoretically, such a market exists everywhere in the world.
Everyone uses spices and -- but you have to understand that, the spice that I sell in India, may not be the right spice that I may go and sell in let's say a Poland or Germany or Norway as a matter of fact because their taste palettes and their acceptance of the spice levels are very, very different. We see that kind of a nuance as far as India is also concerned. So the spice concerned -- spice that we sell in Karnataka is very different from the spice that we sell in Andhra Pradesh. In Andhra Pradesh we sell Guntur chili which has a much higher heat index than the spice that we sell in Karnataka which is largely Byadgi chili which has a much lower heat index and a much higher color index. So there are these technicalities which are re lated to very basic fundamental principles of how food and cuisines are developed which is largely by talking about the 300 -kilometer radius of availability of ingredients that have a very strong influence on the kind of cuisine that you have.
So unless you don't understand the cuisine of different portions of India or abroad, world, I'm afraid you'll be only taking a very generic and an unprofitable approach to building your business and therefore we don't pursue it like that.
Nitin Shaktdher: Okay, thank you. That's a very fair point and all the best for the future. Thank you.
Sanjay Sharma: Thank you.
Moderator: Thank you. Our next question comes from the line of Akshay Darji from Self shine Industries. Please go ahead.
Akshay Darji: Hello, sir. I am audible?
Sanjay Sharma: Yes, you are.

Akshay Darji: Yes, my question is within the South India core market, are you seeing any change in consumer demand compared to quarter two?
Sanjay Sharma: I think that's an excellent question, Akshay. As we said that certainly the consumption environment is improving, and therefore we are seeing an uptick as far as consumption is concerned. It is slow and we do -- we do feel that the markets are warming up t o a better environment.
Akshay Darji: Okay. And my next question is like, what is the growth plan for the next two years to expand the business?
Sanjay Sharma: I think our growth strategies are very clearly articulated. I think first is, we have two brands which is MTR and Eastern. We still believe that there is a strong potential to grow as far as both these brands are concerned in its core market. As you know t hat MTR is the number one brand in Karnataka and is the number two brand in Andhra Pradesh. Eastern is the number one brand in Kerala.
Now, just to -- our entire business model is about focusing in the local geographies as far as spices is concerned and driving the growth through driving penetration by driving range, by driving price and by driving consumption of our products. Just give m e a second. Yes, by driving range, by driving penetration, range, frequency, and value of the products.
So we will continue to do that. Let me -- and you know, one of the major perspective that we get from investors as far as our business is concerned that because we are a local business, we may have a limited potential to grow, and that is completely not tr ue. It may have been true at some point of time where India was not developed.
Today if you loo

k at India, and especially when you look at South, 30% of the GDP actually
comes out of the southern part of India. The per capita income as far as the southern Indian states is about 1.2 to 1.9 index to the average per capita income across India. We also have the highest

annual per capita spend as far as the packaged foods is concerned and we also have the highest spice consumption as far as India is concerned. So Southern India is a very, very rich market.
The second aspect that I would like you to consider is the fact that we did a quick back -of-the-envelope calculation on per capita sales of MTR brand in Karnataka and we realized that today we get roughly INR110 per consumer out of Karnataka in terms of pe r capita sales, which means that we are largely selling 120 grams of Sambar which is our largest product which we sell for INR75 for 100 grams. We are largely at INR110 , we are largely selling 120 grams of Sambar per person.
And Sambar is consumed five times in a week, and to make Sambar you need to use at least 10 to 12 grams, which means that we are largely covering 10 to 12 consumption occasions out of 265 consumption occasions available as far as Sambar is concerned. So we believe that there is still a long runway to growth that is available for us as far as South of India is concerned. So as

far as spices is concerned where it is very, very important for us to be locally focused and reflect the culture, we will continue to focus on the South.
The second portion is convenience food. Here we are now, a large portion of our sales largely we've been -- it's not that we are not distributed across India, but despite being distributed across India, we have a large portion of our sales coming out of th e southern part, but we are now slowly starting to realize, and I said that in my narrative in my presentation also, that we're starting to see that because of e -commerce we are now able to sell some of the products in convenience foods across other towns in India also.
I think that is something that we are experimenting with and we are also looking at launching specific products that could actually go across the country. So with convenience food we are now starting to see our ability to get a better bang for the buck, as far as building our sales only in the metro towns of India is concerned. So that is another small experiment that we are doing, and we may in a calibrated manner build ourselves as far as digital commerce is concerned.
The third thing that we are doing in terms of growth is our international business. Our large focus is going to be in the GCC countries where you are seeing that we've got a very, very good growth pattern developing, and the US markets, these are the two k ey markets that we will continue to invest in and build. We've got a dedicated team out here, we have a dedicated people. We've got feet on street that will help us build and control the entire distribution of our business and we will continue to actively participate as far as digital commerce development both in India as well as in the international market is concerned. So t hese are broadly the four - three -four pillars of growth that we will be pursuing.
Akshay Darji: Okay. Yes. Thank you.
Moderator: Thank you. Ladies and gentlemen, due to the time constraint, that was the last question for today. I would like to hand the conference over to Mr. Siddharth Borkar for the closing comments. Thank you and over to you, sir.
Siddharth Borkar : Okay, thank you for attending this call.
Moderator: Sorry Mr. Siddharth, but your voice is breaking.
Siddharth Borkar : Is it better now?
Moderator: Yes, yes.
Siddharth Borkar : Thank you all for attending this call. Please do get in touch with us in case of any further questions and we look forward to interacting with you in the future. Thank you.
Moderator: Than

k you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

ORKLA INDIA LIMITED
(Formerly known as “Orkla India Private Limited”)
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May 26, 202 6

BSE Limited,
20th Floor, P.J. Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 544595
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Scrip Symbol: ORKLAINDIA

Dear Sir / Madam,

Subject : Transcript of the Earnings C onference Call with Analysts/ Investors on the financial results for the quarter and financial year ended March 31, 202 6

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations ”), please find enclosed the transcript of the Earnings C onference Call on Audited F inancial Results for the quarter and financial year ended March 31, 202 6, conducted after the meeting of the Board of Directors held on Tuesday , May 19, 202 6.

The Transcript is made available on the website of the Company at :
https://www.orklaindia.com/governance/stock -exchange -intimations/earnings -call-updates/fy -2025 - 26/

We request you to take this on record and treat the same as compliance with the applicable provisions of the SEBI Listing Regulations.

Thank ing you.

For Orkla India Limited
(Formerly known as Orkla India Private Limited)

Kaushik Seshadri
Company Secretary and Compliance Officer

Encl.: as above

“Orkla India Limited
Q4 FY26 Earnings Conference Call”
May 19, 2026

MANAGEMENT : MR. SANJAY SHARMA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – OKLA INDIA LIMITED
MS. SUNIANA CALAPA – CHIEF FINANCIAL OFFICER –
ORKLA INDIA LIMITED
MR. SIDDHARTH BORKAR – HEAD, M&A AND
INVESTOR RELATIONS – ORKLA INDIA LIMITED

MODERATOR : MR. AKSHAY KRISHNAN – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Orkla India Limited's Q4 FY26 earnings conference call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance dur ing this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

And I now hand the conference over to Mr. Akshay Krishnan from ICICI Securities Limited. Thank you, and over to you, sir.

Akshay Krishnan: Hi, this is Akshay Krishnan from ICICI Securities. It's a great pleasure to host the Q4 FY26 earnings call of Orkla India Limited. I right now hand over the call to Mr. Siddharth Borkar to take over the proceedings. Thank s.

Siddharth Borkar: Thank you, Akshay, for hosting us. Hello and welcome, everyone, to the Q4 FY26 results for Orkla India. I am Siddharth Bork ar, Head of M&A and Investor Relations at Orkla India. I am joined by Mr. Sanjay Sharma, Managing Director and CEO at Orkla India, and Ms. Suniana Calap a, CFO at Orkla India.

I hope you've gone through the investor presentation and other materials that we've uploaded. In today's call, we'll walk you through some of the key highlights of the quarter, and then we'll open the floor for Q&A. I want to draw your attention to the dis claimer slide as stated in our earnings presentation.

With that, I hand it over to Sanjay.

Sanjay Sharma: Thank you, Siddharth. A very good evening to everyone. My name is Sanjay Sharma; I'm the Managing Director and CEO for Orkla India. I am joined along with our CFO, Suniana Calap a, to take you through our results.

It is great to connect with you as we present our quarter four and full year FY26 results. We deeply value the continued trust and support from all our investors. I'm sure you have seen our investor deck that we have uploaded, and I will be walking you through that, so I will give you slide references and you can turn along with me as we go ahead.

So let me begin with a quick overview of our business before I walk you through our quarter 4 and full year results. Let's go to Slide 5. Orkla India, a quick introduction for people who are coming to these presentations for the first time. Orkla India is a multi -category food company, anchored by trusted heritage brands such as MTR and Eastern. MTR is a 100 -year-old brand and Eastern is a 40-year-old brand. We operate in two categories of spices and convenience food.

Our business model is built on a very fundamental premise that food is local. Our growth charter is driven on the premise of going deep rather than building a broad generic portfolio across India. We have consciously focused on winning in our core markets, particularly in South India, where we have a strong cultural and consumption relevance. The skew of the business resonates the growth charter. We generate 70% of our revenues from our core markets in the South, with international business contributing 21% of our total revenue.

This is supported by a strong distribution network of 679,000 retail touchpoints, combined with a manufacturing footprint of eight in -house facilities and 22 outsourced units, enabling us to operate both at scale and with agility.

Now you can move to Slide 7. A few comments on the macroeconomic environment. The broader macroeconomic environment in India continues to remain resilient, supported by a healthy GDP growth, an improving consumption trends, and continued formalization across categories.

From a policy perspective, the environment remains supportive, with measures such as GST simplification and continued fiscal and monetary support aiding consumption and driving forma

lization.

On inflation, we have seen a cool -off from earlier highs. However, in the recent months, there are early signs of inflation returning, especially in key agri -commodities which are relevant to our business.

That said, there are also external headwinds to monitor. The West Asia conflict has introduced volatility, leading to input cost pressures and intermittent supply chain disruptions. Despite these near-term uncertainty, the macroeconomic environment remains broadly conducive, and we are well-positioned to navigate these evolving dynamics.

We can move to Slide 8. During FY26, the deflationary trend that we have been battling with for the last two years has gradually bottomed out and as of now, reversed. As we exit the year …

Moderator: Sir, sorry to interrupt you, we have lost your audio. Can you hear us? Participants, please stay connected. Ladies and gentlemen, thank you for your patience. We have line for Sanjay sir reconnected. Sir, please go ahead.

Sanjay Sharma: Yes, you can hear me loud and clear, I guess?

Moderator: Yes, sir.

Sanjay Sharma: Okay. Thank you. I'm sorry for the drop -off of the call. So let me just start off from the macroeconomic environment again. So, as I was talking about how inflation was seen to be cooling off from earlier highs, and however, in recent months, we've seen early signs of inflation returning, especially in key agri -commodities which is relevant for our category.

That being said, there are also external headwinds to monitor. The West Asia conflict has introduced volatility leading to input cost pressures and intermittent supply chain disruptions as well. Despite these near -term uncertainties, the macro environment remains broadly conducive, and we are well -positioned to navigate these evolving dynamics.

Coming to Slide number 8, give you a quick overview of the key commodity and price trends. During FY26, the deflationary trend gradually bottomed out and has now reversed. As we exit the year, we are seeing a recovery in spice prices, with quarter 4 showing an 6.5% uptick versus the lows that we were seen earlier in the years, indicating the beginning of an inflationary cycle.

Key spices such as chili and coriander have seen inflation of 20% to 30% and 10% to 15% respectively, marking a clear shift in commodity trends.

In general, our supply chain remains robust, given that 95% of the raw materials are being sourced locally. We have a marginal import dependence. To navigate this environment, we are driving operating efficiencies and working closely with our business part ners to manage and mitigate the overall impact, while progressively passing on price increases to consumers to offset the impact of inflation.

Moving to Slide 10. Now let me take you through our consolidated FY26 performance. We've delivered a revenue from sales of products of INR 2,493 crores, up 5.7%, alongside an EBITDA of INR 424 crores, growing at about 7%, reflecting the resilience of our business despite challenging operating environments.

What is particularly encouraging is the consistent acceleration in volume growth over the last four years. From 1.8% in FY23, we've scaled this up to 5.9% in FY26, demonstrating the strength of our brands and continued focus on driving consumption -led growth.

At the same time, we've also delivered a strong absolute EBITDA expansion, growing from INR 312 crores in FY23 to INR 424 crores in FY26, which highlights the operating leverage in the business. The EBITDA has grown at 7% over last year. The underlying growth without the PLI effect is about 12.4%.

Importantly, this has been accompanied by a steady improvement in EBITDA margins, increasing from 14.4% in 2023 to 16.9% in FY26, reflecting our sharp focus on premiumization, cost discipline, and a favourable product mix.

Overall, FY26 underscores our ability to drive volume -led g

rowth while expanding profitability,

positioning us well for sustainable and long -term value creation. We'll move to Slide number 12. Coming to our quarterly performance. In quarter 4, we delivered a 6.2% growth, which further improves to 7.8% if you exclude Kerala. Kerala market was impacted due to internal sales restructuring project and softening of HoReCa sales due to the LPG crisis. I will speak more about it further in my presentation.

On the profitability front, we've been able to consistently clock INR100 crores of EBITDA each quarter while sustaining a healthy margin of above 16%. In quarter 4, we reported an EBITDA of INR100 crores with a margin of 16%. The marginal decline in quarter 4 margins is attributed to higher freight costs driven by West Asia conflict and investment in Project BOL T, which is a digital commerce project I will speak about later. This impact is to the tune of 200 basis points on our margin. Despite headwinds, we have continued to sustain a healthy profitability levels during the quarter.

We'll move to Slide 13. Let me take you through the performance of our Spices portfolio. We delivered an overall revenue growth of 6.1% despite issues in Kerala market. Encouragingly, when we look at our domestic business excluding Kerala, growth is strong at 11.1% with volum e development of 6.5%.

The growth has been driven by two key levers. First, we are deepening our rural market penetration through targeted consumer activations, which has helped us expand our reach and drive incremental consumption. We've conducted sampling exercises across more than 400 schools and mandis, reaching to an audience of over 300,000 people. These on -ground initiatives continue to strengthen the brand visibility and engagement.

Our innovation programs also continue to build on our deep -rooted knowledge and strong understanding of the regional culinary culture. In this quarter, two more new innovations have been launched: the MTR Karam Gold chili powder for pickles, as the pickle season is about to begin, and the MTR Karam to strengthen our portfolio in the Andhra Pradesh and Telangana market.

Our market positions in our core markets remain resilient, with market shares MAT March '26 in the category in Karnataka improving by 30 basis points and in Kerala, they declined by 50 basis points.

In AP, our shares are stable. We continue to retain a strong number one position in Karnataka and Kerala, driven by increase in penetration. Overall, while Kerala remains a near -time headwind, the underlying performance across other markets reinforces our strategy of driving depth and building a strong regional franchise which continues to deliver resilient growth.

Now let me come to slide number 14 about Eastern distribution. As I said earlier, Eastern acquisition was done in 2021. While all the synergies and improvements have been captured, the only aspect that we had not worked upon was improving the distribution system. Today, our distributions for Eastern operates on a "one system for all" approach, which limits our ability to fully capture the potential across categories and channels.

The legacy route -to-market had many challenges, such as sub -optimal market coverage, lack of customer focus in tune with the trade evolution that has taken place in India, and ineffective focus on convenience food. As the market evolves, this model needed to become more agile, segmented, and future -ready.

Through this restructuring, we are fundamentally re -architecting our distribution model with three clear priorities. First, we aim to significantly enhance our spices coverage, improving reach, availability, and execution at outlet level.

Second, we are focused on accelerating growth in Convenience Food, a high -potential segment, by building sharper distribution and activation capabilities. Third, we are creating a dedicate

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structure for standalone modern trade, enabling us to capture growth more effectively and strengthen our market shares. While this transition has led to some near -term disruption in Kerala market, these steps are structur al in nature and are aimed at building a stronger, more scalable distribution engine.

We'll move to Slide 15 on Convenience Food. In Convenience Food, we've delivered a revenue growth of 6.4%, supported by a robust performance across key segments. Notably, both Meals and Sweets categories have delivered double -digit growth, reflecting increasing relevance in

daily consumption. In overall, the performance reinforces our strategy of scaling up convenience food as a long -term growth driver.

Now we'll move to Slide 16. Our international business has demonstrated strong resilience despite a challenging external environment. We delivered a 11.8% growth in GCC, which represents 70% of our international business, reinforcing the strength of our franchise in the region. In fact, Eastern continues to be the number one Indian spice brand in UAE by household reach.

During the quarter, the ongoing West Asia conflict led to significant operational challenges, including elevated freight costs, port closures, and increased transit time, creating pressure on the overall supply chain. However, through calibrated and timely interventions, we have been able to ensure continuity of operations through a series of steps. Our top priority has been the safety and security of our teams on ground, which has been secured.

Next, we have maintained a strong supply chain resilience, ensuring that our shelves remained well-stocked across markets. From a cost standpoint, we are actively managing the impact through a combination of measured price increases, effective cost control s, and close collaboration with our business partners.

Now I'll move to Slide 17. Let me take you through our digital commerce performance, which continues to be a key growth driver for our business. While we delivered a 23% year -on-year growth in quarter 4, more importantly, on a full -year basis, we've achieved a strong 38% growth in FY26, clearly reflecting the structural scaling of this channel.

This momentum is also translated into increased contribution, with digital commerce now accounting for 8.7% of our domestic revenues, up from 6.6% last year. This growth has been driven by consistent investments in social media engagement and digital -first activations.

A key highlight in this space has been MTR Prakriti , which is our effort to take a single -source premium spice beyond the South Indian markets, where we are seeing an encouraging traction. We have now expanded this product to five metros across all the quick commerce platforms, including Swiggy, Blinkit, A mazon, Flipkart, and FirstClub , along with our D2C platform.

38% of our sales are coming from non -South markets, indicating a strong acceptance of our core regions beyond our core regions. Additionally, we are seeing 21% repeat rates on D2C, reflecting an improving consumer stickiness.

Slide 18. Building on the strong momentum we are seeing in digital commerce, we have now launched Project BOL T, a focused initiative to accelerate our digital commerce trajectory with the help of an external agency.

Project BOL T is designed to systematically scale up this opportunity and is built on three key pillars. First, we are developing a dedicated digital commerce playbook anchored around people, process, and technology to bring sharper execution and consistency across plat forms.

Second, we are focused on winning online market share with an ambition of building a stronger online presence relative to offline presence over a period of time. Third, we are driving digital -first, channel -specific innovations, ensuring that ou

r portfolio is better aligned with the evolving needs of digital commerce consumers.

The project outcome is focused on strengthening our overall digital commerce capability by improving the organization structure and design, building capabilities across our teams, strengthening our ability to generate consumer insights, and finally, deploy the use of technology to ensure to enable dashboards to infuse agility into decision -making and market action. I am confident that this will enable us to accelerate value creation on this key emerging channel.

Now I hand it over to Suniana to take you through the financials.

Suniana Calapa: Thank you, Sanjay, and good evening, everyone. Let me begin with the financial highlights for FY 2026. I draw your attention to slide number 20. Orkla India delivered revenue from operations of INR 2,509 crores, registering a year -on-year growth of 4.8%, supported by volume growth of 5.9%, the highest in the last four years, reflecting our continued focus on driving volume -led growth.

EBITDA for the year stood at INR 424 crores with a healthy margin of 16.9%, representing an improvement of 30 basis points over the previous year. Unprecedented deflation in spices over the past two financial years led to a reduction in pricing and impacted the company's ability to recogn ize Production -Linked Incentive PLI income.

Consequently, no PLI income was recorded for the year. On a like -for-like basis, excluding the impact of PLI, our EBITDA grew by 12.4% with a margin expansion of 100 basis points, reflecting strong underlying operational performance.

During the year, the company recorded exceptional items of INR 16.7 crores relating to gratuity expenses following the implementation of the new labor code. Profit after tax before exceptional items stood at INR298 crores, up 3% year -on-year. Growth was moderated due to the absence of PLI income this year as well as l ower financial income, largely due to reduced cash surplus during the year following the dividend payout in the previous year. Reported profit after tax for the year was at INR 286 crores, representing a growth of 11.7%.

Moving on to slide 21. Our performance for quarter four FY 2026. Revenue from operations was INR 626 crores, reflecting a year -on-year growth of 5%. Revenue from sales of products excluding PLI, other operating income was at 6.2%, supported by volume growth of 2.2%.

EBITDA for the quarter was INR 100 crores, up 7% year -on-year with an EBITDA margin of

16%, an improvement of 30 basis points year -on-year. Profit after tax before exceptional items stood at INR 74 crores, representing a growth of 7.5% over the same period last year.
Moving to slide 22. Now let me walk you through the category performance. I draw your attention to the chart on the left, which is the category split. Spices growth for the quarter was 6.1% year -on-year. After nearly seven quarters of continuous spice pri ce decline, we saw an

uptick in the prices of spices during the quarter, and the company has undertaken calibrated price increases to offset input cost increases.
Growth in the spices segment would have been even higher but was impacted by the performance in Kerala. This was driven by external factors such as reduced HoReCa demand due to the LPG crisis, as well as internal factors related to the ongoing distribution restructuring.
Excluding Kerala, the domestic spices business delivered a strong growth of 11.1% with volume growth of 6.5%, reflecting sustained consumer demand and underlying strength of our brands.
Convenience Foods grew by 6.4% in quarter 4, driven by double -digit growth in the Sweets and Meals portfolio. The Breakfast portfolio remained steady during the quarter, impacted by a temporary slowdown in two quick commerce platforms undergoing internal restructuring and is expected to normalize g oing forward.

From a geographic standpoint, the chart on the right, domestic revenues grew by 6.5%. Excluding Kerala, domestic growth was stronger at 8.9%, led by robust double -digit growth in spices. In the international business, we delivered growth of 5.1% during the quarter.
Despite disruptions in West Asia, the GCC region remained a key growth driver, delivering strong growth of 11.8%. In North America, while tariff -related uncertainty impacted the retail environment and led to lower inventory levels, underlying consumer dema nd continues to remain strong, positioning us well for recovery as conditions stabilize.
Moving on to slide 23. EBITDA growth for the quarter stood at 7%. During the quarter, we ensured continuity of supplies to the GCC region, despite elevated freight costs arising from surcharges and incremental shipping line charges. The company has already initiated measures to mitigate these costs through judicious price increases, calibrated spending, and cost -sharing initiatives with channel partners.
Additionally, as Sanjay highlighted earlier, we have commenced Project BOL T, aimed at strengthening our digital commerce capabilities, which entail certain strategic investments during the quarter. Adjusting for these factors, including the absence of PLI, elevated freight costs and investments in Project BOL T, underlying EBITDA growth for the quarter would have been 28.9%, underscoring the strength of our underlying operating performance.
The strong EBITDA performance was driven by effective pricing actions, operational efficiencies, and disciplined advertising promotional spends and cost optimization. PAT before exceptional items grew by 7.5%, supported by improved gross margins, operating leverage, and lower depreciation.
Moving on to slide 24. The company continues to maintain a strong balance sheet and remains focused on driving working capital efficiencies. Return on capital employed stood at 27.7%, with a marginal decline primarily driven by an increase in reserves. Whi le in the previous year, the company had paid out dividend as part of its balance sheet optimization, this year, the board has taken a considered decision to retain cash reserves to support future growth investments.

As of 31st March 2026, the company maintained a healthy cash surplus of INR 600 crores, providing strong financial flexibility to fund strategic initiatives and drive long -term growth.
During the year, the company generated cash from operations before taxes of INR 355 crores, reinforcing our position as a strong and consistent cash -generating company.
Cash conversion for the year was impacted by TDS on dividends deposited during the year. Adjusted for this, cash conversion was at 98% of EBITDA. With a continued focus on inventory discipline, trade working capital days improved by two days.
Overall, we delivered a resilient performance in FY26 with volume -led growth and sustained profitability despite external headwinds. With strong underlying fundamentals and a robust balance sheet, we are well -positioned to drive consistent profitable growth and drive long -term value creation.
Back to you, Sanjay, for your concluding remarks.
Sanjay Sharma: Thank you, Suniana. Let me conclude by saying that while FY26 came with its share of external

challenges and execution transitions, the underlying fundamentals of the business remain strong.
On spices, after two years of unprecedented deflation, we are now seeing inflation re -emerge. We have taken calibrated pricin g actions to ensure that we continue to drive volume growth while improving value realization.
While the West Asia conflict has impacted operations, we have responded with agility, ensuring business continuity and consistent product availability. In recent times, we have seen further increase in input cost pressures across the industry, additionally impacting

packing materials and logistics. We will continue to monitor the situation and take appropriate actions.
Finally, as we look ahead, we remain sharply focused on driving long -term growth through strategic initiatives like the restructuring of Eastern's distribution network to make it more agile, scalable, and future -ready, and through initiatives like Project BOL T, where we are strengthening our digital commerce capabilities to accelerate growth in this high -potential channel.
Despite short -term disruptions, the fundamentals of our business remain strong. With improving volume growths, expanding margins, and focused investments in distribution and digital, we are confident of delivering sustainable long -term value.
Thank you. And we are now happy to take your questions.
Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Resha Mehta from GreenEdge Wealth Services. Please go ahead.
Resha Mehta: Thank you for the opportunity. First is just a suggestion, if, you know, we could keep some more gap between, you know, the release of results and the con -call, which would help us to analyze the results better.

I have three questions. The first one is, you know, is the Kerala distribution restructuring impact expected to last, you know, basically for how long would we see this impact going ahead, and when was this project started? That's one.
Second is exports, you know, since 70% are to the Gulf region, and we have seen that in Q4, it's only grown by 5% our exports business. So if you could comment on are fresh shipments going, what is the likely -- assuming, you know, this current situation West Asia crisis continues, you know, what is t he kind of growth that we can expect from exports considering 70% is to GCC? And also, is the tariff -related issue in USA behind, because now I believe it's just 10% tariff that it's attracting, so probably if you could comment that, you know if exports to the US are also getting impacted? That's question number two on exports.
And third is on the inflation and the pricing. So while I believe some pricing action was initiated in quarter four, if you could comment on, you know, what is the kind of inflation that, you know, we are currently seeing, what is the kind of price hikes t hat we've taken on a blended basis on the portfolio, and what is it that, you know, we are expecting to, you know, take further price hikes if any? Thank you, these are my three questions.
Sanjay Sharma: Yes. Thank you for your question. I was just writing it down, so sorry for the pause that was there, for me to remember what are the questions and what to answer. So let me start with Kerala distribution. I think as I said that, you know, we've acquired Easte rn in 2021, and distribution was -- Eastern had a very unique distribution system, and we needed to learn this distribution system and understand the nuances of the distribution system before we make any changes. Finally, we kicked off the project in this quarter, earlier up in the quarter, and I've outlined the key objectives of those changes in my narrative. So how long will the impact last? I think we will see -- we are well on the way in terms of the project, a nd we will see the impact for at least another couple of quarters. May not be a high impact as we are starting to -- you know, we've already implemented two out of the three phases.
One phase has already been implemented, another phase will be implemented by the end of May, and then the final phase will take at least two more quarters ahead of us. So I would imagine that by last quarter, if not first of January 2027, you will see that the full project will be -- the full restructuring will be completely done. So do expect some level of impact coming through in the next two quarters or so.
With regard to exp

orts, you said that 70% of our business comes out of Gulf. The number that you mentioned of 5% growth, 5.1% growth is at a total business level. Gulf markets, we have grown at about 11.5%, despite the West Asia challenges that are there. We do expect to continue to track a growth rate going ahead.
We've been tracking double digits in the last two quarters in the Gulf. We hope to continue the same. We are seeing, you know, the supply chains are still not fully set. We are seeing some

amount of delays in the shipment of consignment, but we've got adequate stocks available in the mark et, so we don't see any further supply -related issues really coming in the way.

With regard to tariffs in the United States, as you talked about, the frequent changes that have happened over the last one quarter where the tariff structure went from a 50% tariff down to 16%, 17% tariff, which is normalizing the tariffs in pre -tariff wa rs that were there, has resulted in, us having inventories of multiple tariff levels in the US. So we are looking at flushing those inventories out, and the business will return to normalization once those inventories are flushed out. With regard to…

Resha Mehta: Sorry, just a clarification here. So the 5% revenue growth in international business in Q4, is purely attributed to the probably the, de -growth in the US business, is that understanding right?

Sanjay Sharma: Yes. The growth in the US markets has been very soft. Yes.

Resha Mehta: Sure.

Sanjay Sharma: Okay.

Resha Mehta: And…

Sanjay Sharma: With regard -- yes. Your last question was around inflation, right?

Resha Mehta: And the price hike.

Sanjay Sharma: Yes, so I think, Sunaina, if you could take that question.

Suniana Calapa: Yes. So as you can see that for the quarter of March, our volume growth was 2.2% whereas we recorded a revenue growth of 6.2%, if you just look at sale of products. So it's roughly reflecting a 4%, price increase. We did start to take up price increases i n quarter four.

We expect to take another round of price increases in quarter one of FY27. We're obviously watching the situation and the environment very carefully and will take appropriate calibrated price increases as the need arises depending upon what kind of input cost increases, we see.

Resha Mehta: Sure. Thank you so much.

Moderator: Thank you. Next question is from the line of Akshay Krishnan from ICICI Securities. Please go ahead.

Akshay Krishnan: Hi. So sir the net of Kerala, the domestic spice growth remained at around 11.1%. Now how should we think about…

Sanjay Sharma: Akshay, sorry to interrupt, your voice is coming muffled. Can you speak though the handset please?

Akshay Krishnan: Okay. Sure. Is this clear?

Sanjay Sharma: Yes. Go ahead.

Akshay Krishnan: Yes. Yes. Yes. So the net of Kerala, the domestic spice growth remained at close around 11.1%, now how should we think about the timeline of Kerala normalizing, and can we restructur e the RTM drive structurally higher growth versus the historical levels?

Sanjay Sharma: That is pretty much the intention, Akshay, out there. I think the idea is to, you know, I think fundamentally our objective is to ensure that there is minimal disruption in terms of impact to business because we do understand the quantum of business that we do in Kerala. And it is very important for us to do the restructuring in a very structured and a systematic manner.

So we will -- we are not taking any decisions that have wide -ranging impacts on the distribution channel per se. We are going district -by-district, step -by-step, and ensuring to -- ensuring that there is a minimized impact on the business.

The long -term outcome of this restructuring is to ensure that we cater to the segmented distribution needs that we have in the market, as well as be able to increase the level of distribution.

Now if you remember our DRHP, we've spoken about the fact that we've got 70% distribution in Kerala and the closest competitor to us is at least 2x -- we are 2x the closest competitor. So we do have a distribution dominance in Kerala, and the idea is, you know, we have a numeric reach of only 70%, so this restructuring could also help us increase our distribution.

So we do see that post the restructuring and we will have a positive momentum on all lines of business, whether it is convenience food, whether it is modern the regional modern trade and OFO outlets which are there, open format outlets in Kerala, as well as the spices and the masala distribution that we have.

Akshay Krishnan: So how should we think about the timeline, sir, maybe in the near -to-the medium -term, what will be the approx?

Sanjay Sharma: So as I said earlier, I think we are addressing this project in a step -by-step basis, district -by-district basis where we are restructuring our distribution network. So we are trying to minimize the impact on the business, and therefore it will actually t ake us a little bit longer time. We do see that by 1st of January 2027, this project should be complete and the new distribution system should be working seamlessly in the business.
Akshay Krishnan: Okay, great. Great, sir. My next question is to Suniana. The EBITDA growth has been it's been outpacing the revenue growth over the last few quarters. Now how much of this current growth is structurally versus the temporary benefit like the lower ad spends and the mix?
Suniana Calapa: So thank you, Akshay, for the question. If you look at our performance even over the long term, you know, our EBITDA growth has been quite handsome. We've grown our EBITDA from 14.4% in 2024 to about 16.9%.
And we can say that roughly half of this improvement in EBITDA, which is roughly about 250 basis points, half of it would be on the back of raw material price reductions that we've seen over

the last two years. But more importantly, the remaining half has come on the back of operati ng efficiencies, cost reduction, and price management and mix -related changes.
Akshay Krishnan: Okay, great. Great. Thanks. And one final question if I may. Now Digital Commerce is actually growing faster than the GT and the MT aspect of the channel. Now are you seeing incremental household penetration driving through this digital platform, or is gr owth coming in from the channel migration within your existing consumer base?
Sanjay Sharma: Um, yes, I think that's a very interesting concept. I think it's a bit of both. We are reaching out to those households that were not buying us with products with our portfolio. We are able to get growths out of markets other than South India also, so it is adding to improved penetration in non-South markets. But in some of the Southern markets, we are seeing some impact of this coming into the urban metro cit ies. So it's only restricted to the metro cities, it's not going beyond that.
Akshay Krishnan: Okay. And when we tie it up amongst the Tamil Nadu, AP, Kerala, and Karnataka, how does it work around? How do you do it on the picking order of this?
Sanjay Sharma: In terms of?
Akshay Krishnan: In terms of the digital commerce growth versus the GT and the MT.
Sanjay Sharma: I don't have we don't share market -specific numbers on this, that's too much of a detail for us to share. But essentially, a lot of the growths on the digital commerce is also coming on account of expanding beyond the South. So South, also contributes heavily, but also beyond South does well.
Akshay Krishnan: Okay. Okay. Thank you and good luck, sir.
Sanjay Sharma: Yes.
Moderator: Thank you. Next question is from the line of Ravi Purohit from Securities Investment Management. Please go ahead.
Ravi Purohit: Yes, hi

, thanks for taking my question. Um, I have one suggestion and three questions.
Suggestion is same as one of the earlier speakers has said that if you could keep a gap between releasing the quarterly results and the presentation and the con -call, right ? It allows us to kind of go through the numbers carefully.
And my questions are essentially, so I think, you know, we've given out a couple of interviews in the run -up to IPOs and post -IPO also, that on a long -term organic capability of growth within the system is about 12% to 13% which we've done in the last 10 y ears. And I think we had reiterated that we are confident about doing so in the coming years as well.
So given this restructuring and the, you know, issue that we are facing in West Asia, is it fair to assume that we may not do so in the very near -term like in current year and next year? Or do you think the price increases that we are taking because of inf lation in commodity and spices will kind of give us, you know some decent growth in the coming year? That was one.

And second, if we look at the margins of, you know, the companies like MDH and Everest, right? Those two companies typically have similar turnover or slightly higher turnover than ours and make about 20%, 25% EBITDA margins, right? We are at around 16% odd . I'm assuming Eastern contributes much lower margin as compared to let's say MTR brand.
But if you could help us understand over a medium -term what is our margin aspiration? Would Eastern also become a more profitable franchise over a period of time and if yes, does this current

restructuring kind of, you know, have a kind of role to play in that?
And my last question is more, you know, strategic in the sense from a parent's point of view. You know, so, you know, a lot of MNCs have Indian subsidiaries, and I think, you know, Mr. Sharma, you probably are one of the longest -serving CEOs that we've see n in any other listed MNC space in India. So, you know, I think kudos to both the promoters Orkla and to you.
So my question is basically how how does Orkla kind of assess performance of the Indian management now that it is a listed company? Is creating shareholder wealth one of the KPIs, and is -- is the interest of the management aligned with Indian shareholders? And if yes, you know, how -- how does that get measured, right?
Does it get measured by the share price performance, ESOPs that are given out to Indian, you know, management in -- for the Indian company or ESOPs on Orkla ASA? So if you could just kind of help us understand on this alignment part with the minority share holders of Indian, you know Indian listed entity. Those are my three questions, sorry.
Sanjay Sharma: Yes. Thank you very much. I mean, you asked three questions, we'll try and answer to the best of our abilities, and in case we need clarifications, we'll come back to you on terms of what the question was. I've tried to write down everything what you've said.
First question of yours was really about whether we'll be able to do near -term double -digit growth as we go ahead due to the West Asia conflict and due to the restructuring that we are doing. Is that right?
Ravi Purohit: Yes. That's right.
Sanjay Sharma: Yes. So I think our aim is to continue to -- our goal is to continue to work towards a double -digit growth performance, and we are pretty confident that we will move towards that in the near -term. I think the West Asia conflict we have pretty much streamlined our supply chains.
One has to understand that -- also understand the fact that when you have market disruptions like this, which are like the West Asia conflict, the market also a lot of small players tend to stop supplying into these markets because of the humongous costs of freight and delayed time lines and other issues that come into the play.
So the market tends to open out, you know

, have lesser supplies of smaller players, and players like us which are able to bear the cost and transfer the cost to the consumer are able to serve these markets better. So we do expect that these near -term disru ptions that have happened will not really impact us in a sharp way as we go ahead into the next few quarters.

We may see some disruption on account of the Kerala distribution project, but that also we are working in a very step -by-step calibrated way, so that it doesn't impact performance of the company in a big way. The other thing on this is the fact that, you know, the company over the last two, three years has seen a slowdown in terms of revenue growth.
But we -- what you can very clearly see has been the way the volume growths have developed over the last few years. We've gone from 1.3% upwards to about 5.9% in terms of volume growths. So now that inflation has, you know, the macroeconomic environment is changing and the input cost inflation is returning, you will see that the revenue growths will also start to go up.
Our focus will be on ensuring that we continue to drive volumes and the result of that should be a much higher value growth coming through. So that is the first piece of your question. On Everest and MDH, Sunaina, would you like to answer that?
Suniana Calapa: Sure, Sanjay. So Ravi, thank you for your question. Clearly, I think our focus is to drive top -line growth, mainly volume -led growth. So we are focusing very hard to grow penetration, to improve the growth of convenience foods not just in our core south ma rkets but also, you know, nationally. So our disposition is to drive top -line revenue growth which will be volume -led. And we are also investing therefore on strategic initiatives.
We spoke of Project Bolt, so we are making investments to also help us improve a very important channel which is digital commerce, so we are making investments. But that said, we will continue to drive, you know, profits. We will continue to focus on operational efficiencies. We have a whole host of programs which we've spoken of earlier, like we continue to evaluate our manufacturing footprint. If there are oppor tunities, we will rationalize our manufacturing footprint further.
We're continuing to outsource more and more because we see that we get better margins by outsourcing some lower value -added, you know, categories of ours. In addition, we are very focused on optimizing costs. So all of this, you know, we believe will yield results and we will see, you know, profits improve. But we're clearly focusing on growing topline led through volume growth.
Ravi Purohit: Sunaina, if I -- if I may ask, you know, so not -- not as a target, but as an aspiration, right? I look

at MDH, I look at Everest, and all the good spice manufacturing companies who have very, very strong brands like ours. They make EBITDA margins in exces s of 20%, 25%, some years even as much as 25%, 30%.
So as an aspiration, not for this year or next, let's say over a three to five -year period, where would our aspiration be? And between MTR and Eastern, do you, you know, where do you think, you know, over what period of time can Eastern also kind of come a t par with let's say MTR margins? And if you could just help us understand that nuance also, it will be helpful.
Suniana Calapa: So Ravi, we don't put out guidance, so I will refrain from giving you specific guidance on, you know, where we expect our margins to be in a few years. But you're right, clearly MTR delivers better EBITDA margins. We've seen an improvement in MTR's EBITDA margins from the time

that Orkla acquired MTR in 2007 up until now. We're also on a similar journey in the case of Eastern.
We've seen an improvement in Eastern's EBITDA margin from the time we acquired Eastern in 2021 up un

til now. But clearly, there is more opportunity to improve the Eastern's EBITDA margin. I spoke of some of the cost programs that we have implemented and we will continue to work on. Sanjay also spoke of the distribution restructuring program in Kerala, and I think one of the objectives is to also accelerate the growth of convenience foods.
Eastern today is very heavily indexed on spices and more so pure spices, and by shifting and accelerating the growth of convenience foods, we expect that margins in Eastern will also improve. So we clearly have plans to improve also the EBITDA margins of E astern.
Sanjay Sharma: Your last question was about value creation and how does Orkla look at aligning the shareholder interest and the management incentive programs that we have. So, we do have an ESOP program that runs for the management, and the clear focus on that is around ensuring that the shareholder wealth and the shareholder value creation is kept at the centre of that program. So, the management incentive is aligned to shareholder value creation as we go ahead.
Ravi Purohit: Okay. Great, thanks a lot and all the best. I'll come back in the queue.
Sanjay Sharma: Sure, thank you.
Moderator: Thank you. Next question is from the line of Umang Shah from Banyan Tree Advisors. Please go ahead.
Umang Shah: Hi, sir. Thanks for taking my question. Am I audible?
Sanjay Sharma: Yes.
Umang Shah: Okay, thank you. Sir, first question was, when you say 2.2% volume growth, is it like underlying volume growth that FMCG companies like HUL report, or is it volume growth across segments?
Sanjay Sharma: Sunaina, would you like to take that?
Suniana Calapa: Yes. Umang, this is tonnage growth. We wouldn't want to talk of what other companies report, but this is absolute tonnage growth.
Umang Shah: So does this mean that within segment, so just to give an example, if you are selling certain kgs of blended spices and next year if you're selling higher number of pure spices, will the tonnage between the two get combined and you will report a number, or will the volume growth among segments be calculated and then 2.2% will be arrived at?
Suniana Calapa: This is a cumulative tonnage growth across all categories.
Umang Shah: Okay. Okay, sure. Sure. Thank you for this. Second was how much -- just wanted to understand how the PLI scheme works for you, and if we are assuming that there is an inflation in the spices

prices going forward, how do we think about the PLI income that we will be expecting next year?
Suniana Calapa: Umang, I'll take that question. So the PLI was a six -year scheme, it was introduced in '21 -'22. This is the first year that we've not recognized PLI because there are certain CAGR thresholds that are prescribed under the scheme, and because of unprecedente d levels of deflation for two consecutive years, we've fallen short of the threshold and consequently, we've not been able to realize the PLI for FY26. FY27 is the last year of the PLI scheme. It is still early days, so clearly if we meet the threshold, we will start to recognize it, but it's early days and difficult to comment at this stage.
Umang Shah: Got it, sir. Got it, ma'am. And ma'am, when was the last year that you recognized the PLI scheme and what was the quantum?
Suniana Calapa: FY25, we recognized INR 20.5 crores.

Umang Shah: Got it. Got it. That helps me. And just last -- just last one question. We had within Eastern, are you planning to grow convenience foods in India or in GCC markets, and how would it be differently positioned from MTR?
Sanjay Sharma: Yes, I'll take that question, Umang. I think so our businesses are segmented separately. The international business is the international business. The domestic business consists of MTR and Eastern. So, when you look at Eastern's business, dominant portion of its business comes o

ut of
spice and masala. So one of our key objectives, strategic objectives is to really build Eastern as a food company, which means that we want to invest behind convenience food portfolio and build it up further.
Now, Eastern as a brand, as we spoke earlier, appeals largely to the Malayali diaspora and in the state of Kerala. And therefore, the convenience food range that we have behind Eastern largely serves the Malayali diaspora through products such as the Madhu ram range, which is the sweet mixes range that we have where we have a range of different payasams that we sell, as well as the five -minute -- as well as the breakfast range where we have powders as well as the five -minute breakfast form, which is the high convenience form of Kerala breakfast.
The range relative to MTR is dramatically different. The product in the Eastern range is largely products like appam and puttu and idiyappam and other things which are typical Malayali breakfast items. So the ranges are typically dramatically different and do not overlap with MTR.
Umang Shah: Got it. And sir, in terms of profitability, is it profitable on a standalone basis, the Eastern convenience foods?
Sanjay Sharma: Yes, I think that is the idea also. I think the earlier Eastern's convenience food business had much lower margins, but with the value -added concepts that we are launching under Eastern, which is the five -minute breakfast and the new Madhuram range that w e put into the market, the profitability is much, much better than what it was earlier.
Umang Shah: Got it. Got it. Thank you so much for your time, sir.

Moderator: Thank you very much. Next question is from the line of Praveen Jayaraman from Avendus Spark. Please go ahead.
Praveen Jayaraman: Thanks for the opportunity. Hope I'm audible.
Sanjay Sharma: Yes.
Praveen Jayaraman: Yes, sir. So I have three questions. So when we divide on the segments and we say 65% comes from spices and 35% on convenience food, within spices, what would be the breakup of pure spices and blended spices, sir? This is the first one. Moving on to the se cond one, which comes on the convenience food side.
We can associate the taste being local and people who are from South settled in other parts might be the major target for convenience food, especially on breakfast or meals. In this background, how are we placed in convenience foods in other than South mar kets, like any percentage of contribution coming from other than South markets here, and what would be the distribution methods which we are using here on convenience food for other than South market?
Associated question also like, I saw the breakfast portfolio to represent a flat performance this quarter. What would be the associated reason here, sir? So these are couple of questions. And on the last one, recently I saw a SEBI filing on launching fresh products in Hyderabad.
Is this a wet batter which we are coming up in city of Hyderabad? Also on outbound travel as an opportunity, so what -- like what is our outlook or thinking here, like do we have any tie -ups with airlines, et cetera? So these are my set of questions.
Sanjay Sharma: Thank you, Praveen. Sunaina, you want to take the first question? I don't think we give guidances on how much is the split between pure and blended spices, but I defer that to Sunaina. So Sunaina just dropped off. So I will wait for her to come back. Let me try and answer some of your other questions.
One is, your distribution methods outside, we have a unified distribution system across -- for the rest of India other than the South part of India where MTR and Eastern tend to sell through the same distribution channel. But our entire intent to grow in r est of India is now going to be largely focused through the digital commerce stream and that is going to be the single biggest driver for us.
Our growth in rest

of India is actually driven by breakfast by appealing to at two levels. One, to appeal to the diaspora that comes out of the south and the second is also in terms of driving products that are now seeing an appeal to be made in non -south households also. So products like idli, dosa, sambar, vada, all these products are also products where North Indians and other people from other communities also want to consume them and make them at home.

So we are trying to expand our reach using the digital commerce channel and build presence out of other parts of India also. And in that same effort you rightly observed that we have now extended the fresh wet batter portfolio now into Hyderabad city. That is the -- I had spoken about

it in my last quarter also that we had not expanded it largely on account of the fact that the business model was not stable.
We have now established stability as far as the business model is concerned and the earning model of the business is concerned and therefore, we are ready to extend the product to one more additional city. So we’ve now taken it to Hyderabad and we will see the performance how it does from here on. But breakfast there is a clear charter to drive growth.
You also rightly observed that breakfast in this quarter to have a lower growth than the meals and the sweets portfolio that was largely impacted and I think Sunaina also talked about it in our presentation was largely impacted on account of two digital co mmerce platforms that had gone into restructuring in terms of their business model. So, we got lesser orders from some of these channels and therefore it’s a temporary setback. But we will come back on these -- on building the business up through the digit al commerce channels. Sunaina, are you back?
Suniana Calapa: Yes, Sanjay. I’m sorry. Yes.
Sanjay Sharma: Yes, I think the first question was really around the fact that pure Spices and blended spices. What is the ratio between the two? But I don’t think we are giving that guidance, right.
Suniana Calapa: Yes, in the past we've given it out. It's about roughly 26% pure spices and about 39%, 40% is blended spices. Yes.
Praveen Jayaraman: Okay, thanks. That would be helpful.
Sanjay Sharma: Praveen, any other question of yours which is not answered?
Praveen Jayaraman: Yes, sir. So, one on the outbound travel. So like -- okay, you can go ahead.
Sanjay Sharma: Yes, so we don't have real -- really any such arrangements. I think that is a -- that's a market that is there. We've not really tied up with any airline or anything to do this. We do get some orders from certain airlines, we service them, and if anyone is tr avelling abroad, then they tend to pick our products up from the retail outlets or the digital commerce platforms.
Praveen Jayaraman: Sir, why I came up with this is like for the first -time travellers for abroad, once they see that in airplane, that can be like a brand recall for us -- for those set of people, especially if you're targeting GCC or countries like that, people who stay the re. This is just a thought process.
Sanjay Sharma: Yes, thank you for your suggestion. We will take that into consideration.
Praveen Jayaraman: Okay, sir. Thanks.
Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to Mr. Siddharth Borker for closing comments.
Siddharth Bork ar: Thank you all for attending this call. Please do get in touch with us in case of any further questions, and we look forward to interacting with you again in the future. Thank you so much.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.